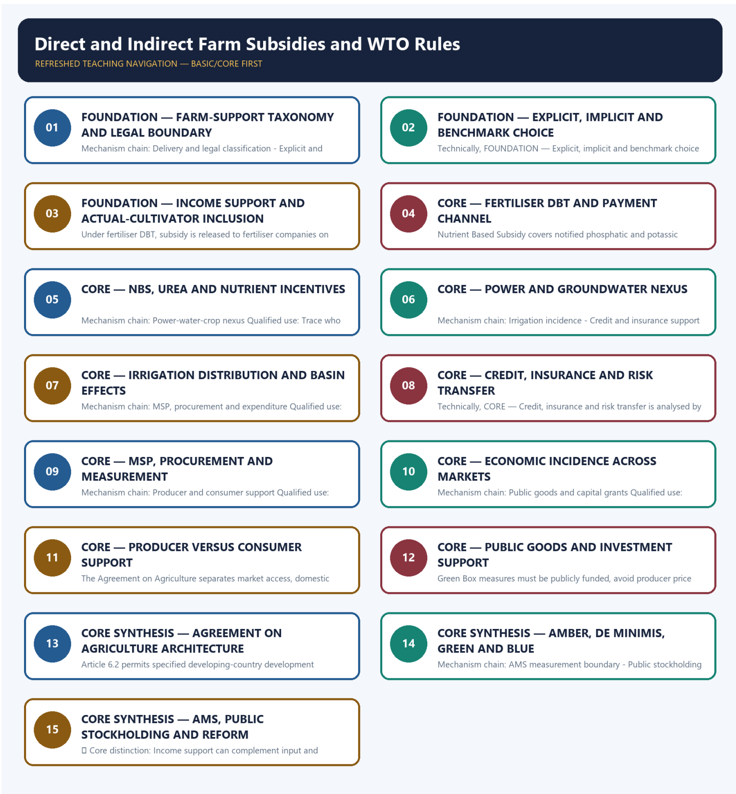
COMPLETE LEARNING SESSION

Direct and Indirect Farm Subsidies and WTO Rules - Learner-v2 Complete Learning Session

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / SESSION INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Direct and Indirect Farm Subsidies and WTO Rules - Learner-v2 Complete Learning Session

> **Authoring-only generation:** 2026-09-03. No PDF was rendered and no tracker or index was mutated.

SOURCE, PROGRESSION AND CURRENT-LINKAGE AUDIT

- **Generation date:** 2026-09-03.
- **Repository-first evidence:** the Basic owner is taught first and preserved in full; the Advanced owner is retained only in the optional final teaching block.
- **OCR evidence:** Repository Markdown was primary. OCR-searchable local official General Studies papers were used only to confirm printed routed demands. No answer key, marking scheme, unsupported page precision or current macroeconomic statistic was inferred from them.
- **Qdrant:** not used; repository Markdown and available OCR context were sufficient.
- **PYQ integrity:** Audited ledgers route the 2023 GS-III farm-subsidy/WTO demand and the 2020 objective fertiliser concept. The Basic/practice firewall preserves fertiliser pricing, ammonia and sulphur distinctions without inferring an unavailable objective answer key.
- **Live-link boundary:** The WTO and fertiliser pages substantively confirmed legal categories and the fertiliser payment channel. No subsidy outlay, beneficiary count, notification percentage, peace-clause invocation, product support value or current dispute outcome was imported.
- **Fact/inference discipline:** no current-affairs item, PYQ wording, figure or quotation is invented.

LIVE OFFICIAL-SOURCE ATTEMPT LOG

The checks below were made on 2026-09-03. Substantive official text is used only for the proposition it actually supports; binary files, dynamic shells, stubs and undated dashboard snippets are recorded but not converted into current claims.

- https://www.wto.org/english/tratop_e/agric_e/agboxes_e.htm - substantive WTO page fetched 2026-09-03; confirms Amber, Blue, Green, de minimis and Article 6.2 criteria without establishing any India-specific notification result.
- https://www.wto.org/english/tratop_e/agric_e/ag_intro03_domestic_e.htm - substantive WTO domestic-support page fetched 2026-09-03; confirms the conceptual framework, government-service criteria and separate de minimis tests.
- https://www.fert.gov.in/en/department/our-wings/direct-benefit-transfer-dbt - substantive Department of Fertilizers page fetched 2026-09-03; confirms company reimbursement after PoS-recorded sales. Dashboard counts were not imported.

BASIC LEARNING SESSION

DEEP-REVIEW LEARNING CONTRACT

Control	Binding rule for this package
Syllabus boundary	Complete Economy Basic/Core is answer-complete before optional Advanced depth.
Formula boundary	Formula, numerator, denominator, unit, stock/flow, nominal/real, base year, level/rate and accounting identity are explicit.
Institutional boundary	Constitution, statute, delegated rule, regulator mandate, policy, recommendation, scheme and implementation outcome remain distinct.
Transmission method	Shock or instrument -> prices/quantities/balance sheets/incentives -> institution and market response -> output, employment, distribution, stability and external effect -> lag and trade-off.
Current-data method	Source -> release date -> reference period -> unit/denominator -> provisional/revised/final status; incompatible Budget, Survey or statistical vintages are never mixed.
Programme-status method	Announced -> approved -> notified/guidelines issued -> funded -> operational -> utilised -> output -> outcome are separate stages.
External/WTO method	Agreement text, member category, box, limit, notification, consultation, dispute and ruling are qualified without invented thresholds.
Causal method	Accounting identity, chronology and correlation are not promoted into behavioural or causal claims without mechanism, counterfactual and alternatives.
Answer balance	Model answers balance growth, distribution, stability, sustainability and federal dimensions with India-centric evidence.
Practice contract	Every solved item has demand decoding, a detailed examiner-grade model, executable timed/compression plan, marks rationale and answer-specific improvement.
Approval	This immutable successor remains `approved: false` pending explicit approval.

Canonical Basic/Core owner: `upsc-ai-kit\knowledge\Economy\basic\28_Direct-and-Indirect-Farm-Subsidies-and-WTO-Rules.md` **Substantive canonical provenance owner:** `upsc-ai-kit\knowledge\Economy\28_Direct-and-Indirect-Farm-Subsidies-and-WTO-Rules_Learner-V2-Complete-Topic-Package.md` **Optional Advanced owner:** `upsc-ai-kit\knowledge\Economy\advanced\28_Direct-and-Indirect-Farm-Subsidies-and-WTO-Rules.md` **Official syllabus mapping:** `upsc-ai-kit\knowledge\Economy\OFFICIAL-UPSC-SYLLABUS-MAPPING.md`

EVIDENCE, PYQ AND CURRENT-STATUS CONTROL

- Every data-heavy table states unit, denominator, geography, reference period and source/status.
- GDP/GVA, gross/net, domestic/national, nominal/real and level/rate distinctions remain exact.
- Monetary, fiscal and external chains state intermediaries, balance-sheet channels, lags, leakages and trade-offs.
- Budget and Economic Survey editions are never mixed; BE, RE, Actual, advance/provisional/revised/final estimates remain labelled.
- Scheme and programme claims distinguish announcement, approval, notification, operation, coverage, utilisation and measured outcome.
- WTO boxes, limits, de minimis, special treatment, notifications and disputes are qualified from authoritative rules.
- PYQ wording is preserved only where verified; reconstructed or routed demands remain labelled.
- **Current-status note, rechecked 2026-09-06:** volatile rates, estimates, scheme status, trade rules and institutional claims retain official source, release date, reference period and revision status.

Generation-local live/current sources:

- https://www.wto.org/english/tratop_e/agric_e/agboxes_e.htm - substantive WTO page fetched 2026-09-03; confirms Amber, Blue, Green, de minimis and Article 6.2 criteria without establishing any India-specific notification result.
- https://www.wto.org/english/tratop_e/agric_e/ag_intro03_domestic_e.htm - substantive WTO domestic-support page fetched 2026-09-03; confirms the conceptual framework, government-service criteria and separate de minimis tests.
- https://www.fert.gov.in/en/department/our-wings/direct-benefit-transfer-dbt - substantive Department of Fertilizers page fetched 2026-09-03; confirms company reimbursement after PoS-recorded sales. Dashboard counts were not imported.

SESSION 1 - FOUNDATION - Farm-support taxonomy and legal boundary

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Farm-support taxonomy and legal boundary explains how Delivery and legal classification and Explicit and implicit support fit into one examinable economic mechanism.

Technical definition: In Economy analysis, Farm-support taxonomy and legal boundary separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Farm-support taxonomy and legal boundary must be read through Delivery and legal classification and Explicit and implicit support, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **Farm-support**
- **taxonomy**
- **legal**
- **boundary**
- **Delivery**
- **classification**

How to use them: Define Farm-support, taxonomy, legal; attach boundary to its named source, period and status; then qualify the answer with this limit: Do not equate direct delivery, DBT and WTO Green Box treatment.

VISUAL FIRST

```
FARM-SUPPORT TAXONOMY AND LEGAL BOUNDARY
01. Delivery and legal classification
    |
    v
02. Explicit and implicit support
BOUNDARY -> Do not equate direct delivery, DBT and WTO Green Box treatment.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary.

NAMED EVIDENCE AND MECHANISM

- Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box.
- Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary.

EXAMINER CAUTION

- Do not equate direct delivery, DBT and WTO Green Box treatment.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Classify the objective, delivery channel and WTO category before judging a subsidy.

MINI RECAP

- **Mechanism chain:** Delivery and legal classification -> Explicit and implicit support
- **Qualified use:** Classify the objective, delivery channel and WTO category before judging a subsidy.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
Farm-support | taxonomy | legal | boundary | Delivery | classification	connect Delivery and legal classification and Explicit and implicit support through accounting, incentives and transmission	Classify the objective, delivery channel and WTO category before judging a subsidy.	Do not equate direct delivery, DBT and WTO Green Box treatment.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Farm-support taxonomy and legal boundary converts a precise economic distinction into a qualified conclusion

SESSION 2 - FOUNDATION - Explicit, implicit and benchmark choice

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Explicit, implicit and benchmark choice explains how Income support boundary fit into one examinable economic mechanism.

Technical definition: In Economy analysis, Explicit, implicit and benchmark choice separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Explicit, implicit and benchmark choice must be read through Income support boundary, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **Explicit**
- **implicit**
- **benchmark**
- **choice**
- **Income**
- **support**

How to use them: Define Explicit, implicit, benchmark; attach choice to its named source, period and status; then qualify the answer with this limit: Do not infer the final beneficiary from the entity receiving the budget payment.

VISUAL FIRST

```
EXPLICIT, IMPLICIT AND BENCHMARK CHOICE
01. Income support boundary
BOUNDARY -> Do not infer the final beneficiary from the entity receiving the budget payment.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators.

NAMED EVIDENCE AND MECHANISM

- Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators.

EXAMINER CAUTION

- Do not infer the final beneficiary from the entity receiving the budget payment.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Trace who finally benefits and who bears fiscal, distributional and ecological costs.

MINI RECAP

- **Mechanism chain:** Income support boundary
- **Qualified use:** Trace who finally benefits and who bears fiscal, distributional and ecological costs.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
Explicit | implicit | benchmark | choice | Income | support	connect Income support boundary through accounting, incentives and transmission	Trace who finally benefits and who bears fiscal, distributional and ecological costs.	Do not infer the final beneficiary from the entity receiving the budget payment.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Explicit, implicit and benchmark choice converts a precise economic distinction into a qualified conclusion

SESSION 3 - FOUNDATION - Income support and actual-cultivator inclusion

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Income support and actual-cultivator inclusion explains how Fertiliser DBT boundary fit into one examinable economic mechanism.

Technical definition: In Economy analysis, Income support and actual-cultivator inclusion separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Income support and actual-cultivator inclusion must be read through Fertiliser DBT boundary, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **Income**
- **support**
- **actual-cultivator**
- **inclusion**
- **Fertiliser**
- **boundary**

How to use them: Define Income, support, actual-cultivator; attach inclusion to its named source, period and status; then qualify the answer with this limit: Do not merge PM-KISAN-style income support with fertiliser DBT.

VISUAL FIRST

```
INCOME SUPPORT AND ACTUAL-CULTIVATOR INCLUSION
01. Fertiliser DBT boundary
BOUNDARY -> Do not merge PM-KISAN-style income support with fertiliser DBT.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer.

NAMED EVIDENCE AND MECHANISM

- Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer.

EXAMINER CAUTION

- Do not merge PM-KISAN-style income support with fertiliser DBT.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Reform quantity-linked support only after building protected income and public-good alternatives.

MINI RECAP

- **Mechanism chain:** Fertiliser DBT boundary
- **Qualified use:** Reform quantity-linked support only after building protected income and public-good alternatives.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
Income | support | actual-cultivator | inclusion | Fertiliser | boundary	connect Fertiliser DBT boundary through accounting, incentives and transmission	Reform quantity-linked support only after building protected income and public-good alternatives.	Do not merge PM-KISAN-style income support with fertiliser DBT.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Income support and actual-cultivator inclusion converts a precise economic distinction into a qualified conclusion

SESSION 4 - CORE - Fertiliser DBT and payment channel

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Fertiliser DBT and payment channel explains how NBS and urea distinction fit into one examinable economic mechanism.

Technical definition: In Economy analysis, Fertiliser DBT and payment channel separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Fertiliser DBT and payment channel must be read through NBS and urea distinction, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **Fertiliser**
- **payment**
- **channel**
- **urea**
- **distinction**
- **Nutrient**

How to use them: Define Fertiliser, payment, channel; attach urea to its named source, period and status; then qualify the answer with this limit: Do not place urea inside the Nutrient Based Subsidy regime.

VISUAL FIRST

```
FERTILISER DBT AND PAYMENT CHANNEL
01. NBS and urea distinction
BOUNDARY -> Do not place urea inside the Nutrient Based Subsidy regime.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework.

NAMED EVIDENCE AND MECHANISM

- Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework.

EXAMINER CAUTION

- Do not place urea inside the Nutrient Based Subsidy regime.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.

- **Mains:** Classify the objective, delivery channel and WTO category before judging a subsidy.

MINI RECAP

- **Mechanism chain:** NBS and urea distinction
- **Qualified use:** Classify the objective, delivery channel and WTO category before judging a subsidy.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
Fertiliser | payment | channel | urea | distinction | Nutrient	connect NBS and urea distinction through accounting, incentives and transmission	Classify the objective, delivery channel and WTO category before judging a subsidy.	Do not place urea inside the Nutrient Based Subsidy regime.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Fertiliser DBT and payment channel converts a precise economic distinction into a qualified conclusion

SESSION 5 - CORE - NBS, urea and nutrient incentives

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: NBS, urea and nutrient incentives explains how Power-water-crop nexus fit into one examinable economic mechanism.

Technical definition: In Economy analysis, NBS, urea and nutrient incentives separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> NBS, urea and nutrient incentives must be read through Power-water-crop nexus, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **urea**
- **nutrient**
- **incentives**
- **Power-water-crop**
- **nexus**
- **Concessional**

How to use them: Define urea, nutrient, incentives; attach Power-water-crop to its named source, period and status; then qualify the answer with this limit: Do not treat MSP announcement, procurement, fiscal cost and WTO support as one number.

VISUAL FIRST

```
NBS, UREA AND NUTRIENT INCENTIVES
01. Power-water-crop nexus
BOUNDARY -> Do not treat MSP announcement, procurement, fiscal cost and WTO support as one number.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak.

NAMED EVIDENCE AND MECHANISM

- Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak.

EXAMINER CAUTION

- Do not treat MSP announcement, procurement, fiscal cost and WTO support as one number.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Trace who finally benefits and who bears fiscal, distributional and ecological costs.

MINI RECAP

- **Mechanism chain:** Power-water-crop nexus
- **Qualified use:** Trace who finally benefits and who bears fiscal, distributional and ecological costs.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
urea | nutrient | incentives | Power-water-crop | nexus | Concessional	connect Power-water-crop nexus through accounting, incentives and transmission	Trace who finally benefits and who bears fiscal, distributional and ecological costs.	Do not treat MSP announcement, procurement, fiscal cost and WTO support as one number.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NBS, urea and nutrient incentives converts a precise economic distinction into a qualified conclusion

SESSION 6 - CORE - Power and groundwater nexus

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Power and groundwater nexus explains how Irrigation incidence and Credit and insurance support fit into one examinable economic mechanism.

Technical definition: In Economy analysis, Power and groundwater nexus separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Power and groundwater nexus must be read through Irrigation incidence and Credit and insurance support, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **Power**
- **groundwater**
- **nexus**

- **Irrigation**
- **incidence**
- **Credit**

How to use them: Define Power, groundwater, nexus; attach Irrigation to its named source, period and status; then qualify the answer with this limit: Do not merge product-specific and non-product-specific de minimis tests.

VISUAL FIRST

```
POWER AND GROUNDWATER NEXUS
01. Irrigation incidence
    |
    v
02. Credit and insurance support
BOUNDARY -> Do not merge product-specific and non-product-specific de minimis tests.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak.

NAMED EVIDENCE AND MECHANISM

- Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving.
- Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak.

EXAMINER CAUTION

- Do not merge product-specific and non-product-specific de minimis tests.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Reform quantity-linked support only after building protected income and public-good alternatives.

MINI RECAP

- **Mechanism chain:** Irrigation incidence -> Credit and insurance support
- **Qualified use:** Reform quantity-linked support only after building protected income and public-good alternatives.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
Power | groundwater | nexus | Irrigation | incidence | Credit	connect Irrigation incidence and Credit and insurance support through accounting, incentives and transmission	Reform quantity-linked support only after building protected income and public-good alternatives.	Do not merge product-specific and non-product-specific de minimis tests.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Power and groundwater nexus converts a precise economic distinction into a qualified conclusion

SESSION 7 - CORE - Irrigation distribution and basin effects

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Irrigation distribution and basin effects explains how MSP, procurement and expenditure fit into one examinable economic mechanism.

Technical definition: In Economy analysis, Irrigation distribution and basin effects separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Irrigation distribution and basin effects must be read through MSP, procurement and expenditure, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **Irrigation**
- **distribution**
- **basin**
- **effects**
- **procurement**
- **expenditure**

How to use them: Define Irrigation, distribution, basin; attach effects to its named source, period and status; then qualify the answer with this limit: Do not call all public investment Green Box without applying the policy criteria.

VISUAL FIRST

```
IRRIGATION DISTRIBUTION AND BASIN EFFECTS
01. MSP, procurement and expenditure
BOUNDARY -> Do not call all public investment Green Box without applying the policy criteria.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries.

NAMED EVIDENCE AND MECHANISM

- MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries.

EXAMINER CAUTION

- Do not call all public investment Green Box without applying the policy criteria.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Classify the objective, delivery channel and WTO category before judging a subsidy.

MINI RECAP

- **Mechanism chain:** MSP, procurement and expenditure
- **Qualified use:** Classify the objective, delivery channel and WTO category before judging a subsidy.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
Irrigation | distribution | basin | effects | procurement | expenditure	connect MSP, procurement and expenditure through accounting, incentives and transmission	Classify the objective, delivery channel and WTO category before judging a subsidy.	Do not call all public investment Green Box without applying the policy criteria.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Irrigation distribution and basin effects converts a precise economic distinction into a qualified conclusion

SESSION 8 - CORE - Credit, insurance and risk transfer

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Credit, insurance and risk transfer explains how Economic incidence fit into one examinable economic mechanism.

Technical definition: In Economy analysis, Credit, insurance and risk transfer separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Credit, insurance and risk transfer must be read through Economic incidence, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **Credit**
- **insurance**
- **risk**
- **transfer**
- **incidence**
- **budget**

How to use them: Define Credit, insurance, risk; attach transfer to its named source, period and status; then qualify the answer with this limit: Do not describe the Bali peace clause as a permanent or unconditional exemption.

VISUAL FIRST

```
CREDIT, INSURANCE AND RISK TRANSFER
01. Economic incidence
BOUNDARY -> Do not describe the Bali peace clause as a permanent or unconditional exemption.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust.

NAMED EVIDENCE AND MECHANISM

- The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust.

EXAMINER CAUTION

- Do not describe the Bali peace clause as a permanent or unconditional exemption.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Trace who finally benefits and who bears fiscal, distributional and ecological costs.

MINI RECAP

- **Mechanism chain:** Economic incidence
- **Qualified use:** Trace who finally benefits and who bears fiscal, distributional and ecological costs.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
Credit | insurance | risk | transfer | incidence | budget	connect Economic incidence through accounting, incentives and transmission	Trace who finally benefits and who bears fiscal, distributional and ecological costs.	Do not describe the Bali peace clause as a permanent or unconditional exemption.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Credit, insurance and risk transfer converts a precise economic distinction into a qualified conclusion

SESSION 9 - CORE - MSP, procurement and measurement

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: MSP, procurement and measurement explains how Producer and consumer support fit into one examinable economic mechanism.

Technical definition: In Economy analysis, MSP, procurement and measurement separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> MSP, procurement and measurement must be read through Producer and consumer support, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **procurement**
- **Producer**
- **consumer**
- **support**
- **Farm**
- **input**

How to use them: Define procurement, Producer, consumer; attach support to its named source, period and status; then qualify the answer with this limit: Do not convert a notification or counter-notification into a WTO adjudication.

VISUAL FIRST

```
MSP, PROCUREMENT AND MEASUREMENT
01. Producer and consumer support
BOUNDARY -> Do not convert a notification or counter-notification into a WTO adjudication.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy.

NAMED EVIDENCE AND MECHANISM

- Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy.

EXAMINER CAUTION

- Do not convert a notification or counter-notification into a WTO adjudication.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Reform quantity-linked support only after building protected income and public-good alternatives.

MINI RECAP

- **Mechanism chain:** Producer and consumer support
- **Qualified use:** Reform quantity-linked support only after building protected income and public-good alternatives.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
procurement | Producer | consumer | support | Farm | input	connect Producer and consumer support through accounting, incentives and transmission	Reform quantity-linked support only after building protected income and public-good alternatives.	Do not convert a notification or counter-notification into a WTO adjudication.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MSP, procurement and measurement converts a precise economic distinction into a qualified conclusion

SESSION 10 - CORE - Economic incidence across markets

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Economic incidence across markets explains how Public goods and capital grants fit into one examinable economic mechanism.

Technical definition: In Economy analysis, Economic incidence across markets separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Economic incidence across markets must be read through Public goods and capital grants, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **incidence**
- **across**
- **markets**

- **Public**
- **goods**
- **capital**

How to use them: Define incidence, across, markets; attach Public to its named source, period and status; then qualify the answer with this limit: Do not present abrupt withdrawal as the only meaning of subsidy reform.

VISUAL FIRST

```
ECONOMIC INCIDENCE ACROSS MARKETS
01. Public goods and capital grants
BOUNDARY -> Do not present abrupt withdrawal as the only meaning of subsidy reform.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks.

NAMED EVIDENCE AND MECHANISM

- Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks.

EXAMINER CAUTION

- Do not present abrupt withdrawal as the only meaning of subsidy reform.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Classify the objective, delivery channel and WTO category before judging a subsidy.

MINI RECAP

- **Mechanism chain:** Public goods and capital grants
- **Qualified use:** Classify the objective, delivery channel and WTO category before judging a subsidy.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
incidence | across | markets | Public | goods | capital	connect Public goods and capital grants through accounting, incentives and transmission	Classify the objective, delivery channel and WTO category before judging a subsidy.	Do not present abrupt withdrawal as the only meaning of subsidy reform.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Economic incidence across markets converts a precise economic distinction into a qualified conclusion

SESSION 11 - CORE - Producer versus consumer support

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Producer versus consumer support explains how WTO domestic-support pillars and Amber and de minimis fit into one examinable economic mechanism.

Technical definition: In Economy analysis, Producer versus consumer support separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Producer versus consumer support must be read through WTO domestic-support pillars and Amber and de minimis, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **Producer**
- **versus**
- **consumer**
- **support**
- **domestic-support**
- **pillars**

How to use them: Define Producer, versus, consumer; attach support to its named source, period and status; then qualify the answer with this limit: Do not equate direct delivery, DBT and WTO Green Box treatment.

VISUAL FIRST

```
PRODUCER VERSUS CONSUMER SUPPORT
01. WTO domestic-support pillars
    |
    v
02. Amber and de minimis
BOUNDARY -> Do not equate direct delivery, DBT and WTO Green Box treatment.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent.

NAMED EVIDENCE AND MECHANISM

- The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact.
- Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent.

EXAMINER CAUTION

- Do not equate direct delivery, DBT and WTO Green Box treatment.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Trace who finally benefits and who bears fiscal, distributional and ecological costs.

MINI RECAP

- **Mechanism chain:** WTO domestic-support pillars -> Amber and de minimis
- **Qualified use:** Trace who finally benefits and who bears fiscal, distributional and ecological costs.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
Producer | versus | consumer | support | domestic-support | pillars	connect WTO domestic-support pillars and Amber and de minimis through accounting, incentives and transmission	Trace who finally benefits and who bears fiscal, distributional and ecological costs.	Do not equate direct delivery, DBT and WTO Green Box treatment.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Producer versus consumer support converts a precise economic distinction into a qualified conclusion

SESSION 12 - CORE - Public goods and investment support

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Public goods and investment support explains how Green and Blue Boxes fit into one examinable economic mechanism.

Technical definition: In Economy analysis, Public goods and investment support separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Public goods and investment support must be read through Green and Blue Boxes, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **Public**
- **goods**
- **investment**
- **support**
- **Green**
- **Blue**

How to use them: Define Public, goods, investment; attach support to its named source, period and status; then qualify the answer with this limit: Do not infer the final beneficiary from the entity receiving the budget payment.

VISUAL FIRST

```
PUBLIC GOODS AND INVESTMENT SUPPORT
01. Green and Blue Boxes
BOUNDARY -> Do not infer the final beneficiary from the entity receiving the budget payment.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions.

NAMED EVIDENCE AND MECHANISM

- Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions.

EXAMINER CAUTION

- Do not infer the final beneficiary from the entity receiving the budget payment.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Reform quantity-linked support only after building protected income and public-good alternatives.

MINI RECAP

- **Mechanism chain:** Green and Blue Boxes

- **Qualified use:** Reform quantity-linked support only after building protected income and public-good alternatives.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
Public | goods | investment | support | Green | Blue	connect Green and Blue Boxes through accounting, incentives and transmission	Reform quantity-linked support only after building protected income and public-good alternatives.	Do not infer the final beneficiary from the entity receiving the budget payment.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Public goods and investment support converts a precise economic distinction into a qualified conclusion

SESSION 13 - CORE SYNTHESIS - Agreement on Agriculture architecture

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Agreement on Agriculture architecture explains how Article 6.2 flexibility fit into one examinable economic mechanism.

Technical definition: In Economy analysis, Agreement on Agriculture architecture separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Agreement on Agriculture architecture must be read through Article 6.2 flexibility, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **Agreement**
- **Agriculture**
- **architecture**
- **Article**
- **flexibility**
- **permits**

How to use them: Define Agreement, Agriculture, architecture; attach Article to its named source, period and status; then qualify the answer with this limit: Do not merge PM-KISAN-style income support with fertiliser DBT.

VISUAL FIRST

```
AGREEMENT ON AGRICULTURE ARCHITECTURE
01. Article 6.2 flexibility
BOUNDARY -> Do not merge PM-KISAN-style income support with fertiliser DBT.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers.

NAMED EVIDENCE AND MECHANISM

- Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers.

EXAMINER CAUTION

- Do not merge PM-KISAN-style income support with fertiliser DBT.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Classify the objective, delivery channel and WTO category before judging a subsidy.

MINI RECAP

- **Mechanism chain:** Article 6.2 flexibility
- **Qualified use:** Classify the objective, delivery channel and WTO category before judging a subsidy.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
Agreement | Agriculture | architecture | Article | flexibility | permits	connect Article 6.2 flexibility through accounting, incentives and transmission	Classify the objective, delivery channel and WTO category before judging a subsidy.	Do not merge PM-KISAN-style income support with fertiliser DBT.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Agreement on Agriculture architecture converts a precise economic distinction into a qualified conclusion

SESSION 14 - CORE SYNTHESIS - Amber, de minimis, Green and Blue

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Amber, de minimis, Green and Blue explains how AMS measurement boundary and Public stockholding status fit into one examinable economic mechanism.

Technical definition: In Economy analysis, Amber, de minimis, Green and Blue separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Amber, de minimis, Green and Blue must be read through AMS measurement boundary and Public stockholding status, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **Amber**
- **minimis**

- **Green**
- **Blue**
- **boundary**
- **Public**

How to use them: Define Amber, minimis, Green; attach Blue to its named source, period and status; then qualify the answer with this limit: Do not place urea inside the Nutrient Based Subsidy regime.

VISUAL FIRST

```
AMBER, DE MINIMIS, GREEN AND BLUE
01. AMS measurement boundary
    |
    v
02. Public stockholding status
BOUNDARY -> Do not place urea inside the Nutrient Based Subsidy regime.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption.

NAMED EVIDENCE AND MECHANISM

- Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure.
- The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption.

EXAMINER CAUTION

- Do not place urea inside the Nutrient Based Subsidy regime.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Trace who finally benefits and who bears fiscal, distributional and ecological costs.

MINI RECAP

- **Mechanism chain:** AMS measurement boundary -> Public stockholding status
- **Qualified use:** Trace who finally benefits and who bears fiscal, distributional and ecological costs.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
Amber | minimis | Green | Blue | boundary | Public	connect AMS measurement boundary and Public stockholding status through accounting, incentives and transmission	Trace who finally benefits and who bears fiscal, distributional and ecological costs.	Do not place urea inside the Nutrient Based Subsidy regime.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Amber, de minimis, Green and Blue converts a precise economic distinction into a qualified conclusion

SESSION 15 - CORE SYNTHESIS - AMS, public stockholding and reform

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: AMS, public stockholding and reform explains how Reform sequencing and WTO transparency boundary fit into one examinable economic mechanism.

Technical definition: In Economy analysis, AMS, public stockholding and reform separates the concept and accounting boundary from its unit, coverage, price basis, base year or basket, estimate vintage, institutional or legal source, crop and geography scope, eligibility, implementation stage, stock-flow boundary, transmission channel and distributional or stability consequence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> AMS, public stockholding and reform must be read through Reform sequencing and WTO transparency boundary, with the formula or legal perimeter stated before the policy inference.

MUST-WRITE KEYWORDS

- **public**
- **stockholding**
- **reform**
- **sequencing**
- **transparency**
- **boundary**

How to use them: Define public, stockholding, reform; attach sequencing to its named source, period and status; then qualify the answer with this limit: Do not treat MSP announcement, procurement, fiscal cost and WTO support as one number.

VISUAL FIRST

```
AMS, PUBLIC STOCKHOLDING AND REFORM
01. Reform sequencing
    |
    v
02. WTO transparency boundary
BOUNDARY -> Do not treat MSP announcement, procurement, fiscal cost and WTO support as one number.
```

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute.

NAMED EVIDENCE AND MECHANISM

- Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods.
- Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute.

EXAMINER CAUTION

- Do not treat MSP announcement, procurement, fiscal cost and WTO support as one number.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Reform quantity-linked support only after building protected income and public-good alternatives.

MINI RECAP

- **Mechanism chain:** Reform sequencing -> WTO transparency boundary
- **Qualified use:** Reform quantity-linked support only after building protected income and public-good alternatives.

CLOSING RECALL FLOW

SUBTOPIC CLOSURE FLOW | SUBTOPIC CLOSURE FLOW

1. KEY TERMS / DEFINITIONS	2. MECHANISM / ARGUMENT	3. CONSEQUENCE / CONTRAST	4. UPSC TRAP / ANSWER-USE
public | stockholding | reform | sequencing | transparency | boundary	connect Reform sequencing and WTO transparency boundary through accounting, incentives and transmission	Reform quantity-linked support only after building protected income and public-good alternatives.	Do not treat MSP announcement, procurement, fiscal cost and WTO support as one number.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: AMS, public stockholding and reform converts a precise economic distinction into a qualified conclusion

COMPLETE BASIC OWNER EVIDENCE BANK

> **Subject:** Economy | **Tier:** Must-Do (exam-complete Core) | **GS Paper:** GS-III + Prelims. **Official clause:** "Issues related to direct and indirect farm subsidies..." **Core rule:** This file must independently answer the complete syllabus clause and the 2023 GS-III farm-subsidy/WTO question. **Grounded in:** WTO Agreement on Agriculture material; Department of Fertilizers; PM-KISAN operational material; Union Budget/Economic Survey; Ramesh Singh; audited PYQs. FACT: = source-grounded | ANALYSIS: = analytical linkage | CURRENT: = dated/current policy hook. *Optional depth companion:* `../advanced/28_Direct-and-Indirect-Farm-Subsidies-and-WTO-Rules.md`.

1. Visual foundation

```
POLICY OBJECTIVE
income · food security · affordable inputs · risk reduction · technology adoption
                              |
                              v
SUBSIDY INSTRUMENT
cash · cheaper input · interest/premium support · price support · capital grant
                              |
                              v
IMMEDIATE RECIPIENT
farmer · manufacturer · bank · insurer · utility · procurement agency
                              |
                              v
ECONOMIC INCIDENCE
Who finally gains? farmer · landlord · supplier · consumer · intermediary
                              |
                              v
BEHAVIOURAL EFFECT
crop · input · water · credit · investment · production · trade choice
                              |
                              v
NET OUTCOME
income/security gain - fiscal cost - distortion - exclusion - ecological damage
                              |
                              v
WTO CLASSIFICATION
Green · Amber/de minimis · Blue · Article 6.2 development flexibility
```

Core proposition: A farm subsidy should be judged by its objective, delivery mechanism, actual economic incidence, behavioural and ecological effects, fiscal opportunity cost and WTO treatment-not merely by its scheme name or budgetary recipient.

2. Essential definitions

Term	Exam-ready meaning
FACT: **Subsidy**	Government expenditure, revenue concession or administered-price benefit that lowers a recipient's cost, raises return or protects consumption/income relative to an unsubsidised benchmark.
FACT: **Direct farm subsidy**	Support transferred explicitly to an eligible farmer/producer, commonly as cash, reimbursement, grant or a clearly identified payment.
FACT: **Indirect farm subsidy**	Support reaching farmers through cheaper inputs/services, administered prices, intermediaries or public provision rather than an unrestricted cash transfer.
FACT: **Explicit subsidy**	Fiscal support recorded through a budgetary payment or revenue concession.
ANALYSIS: **Implicit subsidy**	Benefit arising because a publicly supplied good/service is priced below economic or opportunity cost; measurement depends on the chosen benchmark.
FACT: **Input subsidy**	Support reducing the cost of fertiliser, electricity, irrigation, seed, machinery, credit, insurance or another input/service.
FACT: **Output/price support**	Policy supporting the price or return received for output, including administered-price/procurement mechanisms.
FACT: **Income support**	Transfer intended to supplement household/farm income rather than reimburse one input.
FACT: **Economic incidence**	The person or group whose real income ultimately changes after prices, rents, quantities and behaviour adjust.
FACT: **Decoupled support**	Payment meeting applicable conditions so that it is not linked to current production, current prices or current input use.

Classification warning

"Direct" and "indirect" are useful Indian policy categories but are **not universal legal labels.** A payment can be:

- direct in delivery but production-linked and trade-distorting;
- indirect in delivery but justified as a public service;
- called "DBT" administratively while the subsidy is paid to a company, not as cash to the

farmer;

- classified differently under domestic budgeting and WTO law.

3. Complete map of Indian farm support

Support family	Indian illustration	Immediate recipient/channel	Main objective	Principal risk
Income transfer	PM-KISAN	Eligible landholding farmer family's bank account	Supplement liquidity/income	Tenant, sharecropper and land-record exclusion
Fertiliser price subsidy	Urea support; Nutrient Based Subsidy for covered P&K grades	Manufacturer/importer after eligible sale; lower farmer price	Input affordability and production	Nutrient imbalance, overuse, fiscal/import exposure
Electricity subsidy	Free or concessional farm power under state policies	Utility/consumer through low tariff	Affordable irrigation	Groundwater depletion, unmetered use, DISCOM burden
Irrigation subsidy	Public capital/O&M support; concessional water charge	Irrigated cultivator through infrastructure/service	Water access and productivity	Head-tail/regional inequality, low cost recovery
Credit support	Interest subvention/concessional farm credit	Bank and eligible borrower	Seasonal liquidity and investment	Exclusion of informal tenants, rollover/diversion
Insurance premium support	Government share of crop-insurance premium	Insurer on behalf of enrolled farmer	Transfer specified production risk	Basis risk, delay, weak loss data and trust
Capital/investment grant	Micro-irrigation, machinery or infrastructure assistance	Farmer/FPO/enterprise/vendor under scheme rules	Technology adoption and positive externality	Asset underuse, vendor capture, unequal access
Price support/procurement	MSP-backed procurement operations	Eligible producer through procurement	Price assurance, food security stocks	Crop/regional concentration, stocks and water distortion
Price-deficiency payment	Payment linked to gap under a notified design	Eligible seller	Support return without physical procurement	Manipulation, weak market benchmark, fiscal uncertainty
Public services	Research, extension, pest control, roads, markets	Sector-wide provision	Productivity and capability	Underfunding, weak last-mile delivery
Consumer food subsidy	PDS/NFSA food distribution	Eligible consumer household	Food access	It is not itself a farm-input subsidy, though procurement links both systems

> MEMORY: **Boundary:** Tariffs protect domestic producers but are border measures, not domestic farm subsidies. Public investment is support to agriculture, but every road, research programme or irrigation project should not automatically be called a producer subsidy in ordinary fiscal analysis.

4. Major subsidy systems and their exact logic

4.1 Fertiliser subsidy

```
Government support
        |
        v
Manufacturer/importer supplies fertiliser at regulated/subsidised conditions
        |
        v
Retail sale recorded
        |
        v
Farmer pays below the relevant unsubsidised/economic benchmark
```

- FACT: Under fertiliser **DBT**, subsidy is released to fertiliser companies on the basis of actual sales recorded through retailer Point-of-Sale systems.
- FACT: It is therefore **not the same mechanism as PM-KISAN**: the farmer receives a lower product price; the government's subsidy payment goes to the company.

- FACT: The **Nutrient Based Subsidy (NBS)** policy covers notified phosphatic and potassic fertilisers and provides per-nutrient support for N, P, K and sulphur contained in covered grades.
- FACT: **Urea is outside the NBS regime** and remains under a separate subsidy/pricing framework.

Benefits

- keeps an essential input affordable;
- supports yield and food production;
- can buffer farmers from international feedstock/fertiliser price shocks.

Problems

- relative underpricing of urea can encourage excessive nitrogen use and imbalanced N:P:K;
- supplier payment and product pricing do not guarantee correct farm-level application;
- benefit increases with quantity consumed, often favouring larger/irrigated farms;
- import/feedstock exposure makes fiscal cost volatile;
- diversion, quality and retail availability still require monitoring.

Reform direction

- balanced nutrient incentives rather than one-product bias;
- soil/crop-specific extension and testing;
- calibrated targeting without denying genuine cultivators;
- transparent subsidy and supply data;
- gradual reform synchronized with output prices, credit and alternatives.

4.2 Electricity subsidy and the water-energy-crop nexus

```
Low/unmetered farm-power price
        -> low private pumping cost
        -> more groundwater extraction
        -> water-intensive crop incentives
        -> falling water table + higher future energy need
        -> DISCOM/state fiscal stress
```

Benefits: irrigation access, lower cultivation cost and protection against rainfall variability.

Problems

- benefits pump owners more directly than farmers without wells/electric connections;
- unmetered supply obscures consumption and service quality;
- flat/free tariffs weaken the incentive to conserve groundwater;
- unreliable rationed supply may coexist with a large subsidy;
- procurement incentives can reinforce water-intensive cropping.

Reform direction: meter supply where feasible, protect a defined support entitlement, pay transparent income/energy support rather than reward unlimited extraction, improve daytime quality supply, promote crop alignment and govern aquifers collectively.

> MEMORY: **Trap:** Solar pumps reduce diesel/electricity cost but, without extraction or grid- sale incentives, can make marginal groundwater pumping even cheaper.

4.3 Irrigation subsidy

- public capital expenditure can create positive productivity and resilience effects;
- low water charges may support affordability but weaken maintenance and encourage waste;
- canal benefits depend on location, command governance and head-tail distribution;
- micro-irrigation subsidy can overcome upfront cost, but plot-level efficiency does not

guarantee basin-level water saving.

Reform: participatory distribution, maintenance funding, water accounting, targeted micro-irrigation, crop incentives and watershed/aquifer governance.

4.4 Credit and interest support

Purpose: bridge the gap between pre-harvest expenditure and post-harvest income; reduce reliance on high-cost informal credit.

Risks

- land/document requirements can exclude tenants and sharecroppers;
- subsidised short-term credit may be diverted or repeatedly rolled over;
- banks may favour safer/larger borrowers;
- cheap credit cannot repair an unviable crop-market system.

Reform: recognise cultivators, improve cash-flow lending and FPO channels, retain prudential appraisal, connect credit to insurance/markets without forced bundling, and evaluate productive use rather than disbursement alone.

4.5 Crop-insurance premium subsidy

- government pays part of the actuarial premium so farmer participation is affordable;
- insurance transfers specified risk; it is not a general income guarantee;
- area-yield or index methods reduce individual verification cost but create **basis risk**;
- premium support is wasted if enrolment, yield data, claim calculation or settlement is

not trusted.

Reform: transparent notification, reliable crop/loss data, timely settlement, farmer-accessible claim status and independent grievance/appeal.

4.6 MSP and procurement support

- MSP is an announced price signal; procurement converts it into an effective purchase for

particular crops, grades, places and quantities.

- MSP is not identical to a budgetary cash subsidy.
- Economically and under WTO methodology, administered-price support may be measured as

market price support even when government expenditure is not equal to that measurement.

- concentrated procurement can favour particular regions/crops and transmit water,

fertiliser and stock distortions.

Reform: credible but diversified support, better market competition, price-risk tools, decentralised/local procurement where suitable, transparent stock rules and income/risk support not tied to one crop.

4.7 Direct income support

- FACT: PM-KISAN provides eligible landholding farmer families **Rs 6,000 per year** through

three DBT instalments, subject to the scheme's eligibility and exclusion rules.

- income support is transparent and does not require the farmer to buy one subsidised input;
- it improves liquidity but may be too small or poorly timed relative to crop need;
- land-record-based eligibility can omit tenants, sharecroppers and cultivators without

recognised title;

- cash cannot substitute for irrigation, research, extension, health, education or markets.

> MEMORY: **Core distinction:** Income support can complement input and public-good reform; it is not a complete agricultural strategy.

5. Why governments subsidise agriculture

1. **Food-security externality:** stable production supports national availability.

2. **Income and equity:** small producers face low/volatile income and weak bargaining.
3. **Risk and missing markets:** weather, price and information risks may be difficult to insure privately.
4. **Positive externality:** irrigation efficiency, soil health, research or climate adaptation may produce social benefits beyond the farmer.
5. **Credit constraint:** profitable investment may not occur because farmers lack upfront finance.
6. **Price stabilisation:** temporary support can prevent destructive collapse.
7. **Structural transition:** assistance can support diversification and technology.

When the justification weakens

- benefit is captured mainly by larger users or suppliers;
- support rewards input quantity rather than desired outcome;
- environmental/social damage exceeds income gain;
- subsidy persists after the original market failure changes;
- a cheaper, more targeted or less distortive instrument exists;
- programme crowds out research, extension, infrastructure or human development.

6. Economic incidence: who really receives the subsidy?

```
LEGAL/BUDGET RECIPIENT != FINAL ECONOMIC BENEFICIARY
```

Subsidy	Visible recipient	Possible final incidence
Fertiliser	Manufacturer/importer claim	Farmer through lower price; supplier through margin/volume; larger user through quantity
Electricity	Utility/connected farmer	Pump-owning cultivator; landlord through land rent; crop consumer through supply
Credit interest	Bank/borrower	Eligible borrower; seller if cheaper credit raises input demand
Insurance premium	Insurer	Farmer through risk cover; insurer/provider depending on pricing and claims
Machinery grant	Farmer/FPO/vendor	User through service; vendor if equipment price rises
MSP procurement	Procured farmer	Producer; consumer/taxpayer effects through stocks and prices
Cash transfer	Registered farmer	Household; landlord/input seller may capture part after behavioural/price adjustment

Four incidence tests

1. Who is legally eligible?
2. Who can actually access the programme?
3. How does the subsidy change prices, rent and quantity?
4. Who bears the tax, fiscal, environmental and opportunity cost?

7. Main benefits and distortions

Dimension	Potential benefit	Potential distortion/cost
Farmer income	Protects margin and liquidity	Unequal capture; dependence on one instrument
Production	Prevents underuse of essential inputs	Overproduction and crop lock-in
Food security	Supports availability and stocks	Excess stock and cereal bias
Inputs	Makes fertiliser, water, power affordable	Nutrient imbalance and groundwater depletion
Risk	Enables insurance and resilience investment	Moral hazard/basis risk/weak claims
Technology	Overcomes high initial cost	Idle assets and vendor-driven adoption
Fiscal policy	Achieves social objective quickly	Crowds public investment and creates arrears
Trade	Supports vulnerable producers	Export/production distortion and WTO scrutiny
Federalism	States tailor support to local needs	Competitive populism and DISCOM/fiscal stress

8. WTO Agreement on Agriculture - complete Core

8.1 Three pillars

1. **Market access**
2. **Domestic support**
3. **Export competition**

The farm-subsidy question primarily concerns **domestic support**, though procurement, exports and border policy interact.

8.2 WTO boxes

Category	Core rule	Examples/logic
FACT: **Amber Box**	Domestic support considered to distort production/trade, except exempt categories; subject to applicable limits/reduction commitments	Market price support and production/input-linked support
FACT: **De minimis**	Amber-type support below specified thresholds is exempt from reduction	For developing countries, generally 10% of the total value of production of the basic agricultural product concerned for product-specific support and 10% of total agricultural production value for non-product-specific support-tested separately
FACT: **Green Box**	No or at most minimal trade/production distortion; government-funded; must not provide producer price support; policy-specific criteria apply	Research, extension, pest control, eligible infrastructure, compliant food-security/public-service and decoupled-payment measures
FACT: **Blue Box**	Normally amber-type direct payment tied to a production-limiting programme under specified conditions	Payment based on fixed area/yield, fixed livestock number or 85% or less of base-period production
FACT: **Article 6.2 / Development programmes**	Additional developing-country flexibility	Generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers

> MEMORY: **Prelims trap:** Green Box is not "anything environmentally good," Blue Box is not "any irrigation subsidy," and a direct cash payment is not automatically Green. Legal classification depends on the measure satisfying the Agreement's criteria.

8.3 Aggregate Measurement of Support

- FACT: AMS is a WTO measure of non-exempt trade-distorting domestic support.
- product-specific and non-product-specific support are calculated and tested under the applicable rules.
- administered market-price support is generally measured using:

```
(Applied administered price - fixed external reference price)
                    x eligible production
```

- the WTO calculation is **not the same as government budget expenditure or actual procurement payment**.
- fixed external reference prices derive from the Agreement's historical base period, creating controversy when compared with current administered prices after decades of inflation and exchange-rate change.

8.4 Public stockholding and the peace-clause issue

- developing countries use public procurement and stocks for food security.
- WTO market-price-support calculations can treat administered procurement prices as support against an old fixed external reference price.
- the **2013 Bali public-stockholding decision** created interim due-restraint/peace-clause protection for qualifying existing public-stockholding programmes for food security involving traditional staple food crops, subject to conditions including transparency and notification, while members seek a permanent solution.
- India argues that food-security procurement for large vulnerable populations and low-income/resource-poor producers requires fairer rules and a permanent solution.

8.5 Issues raised at the WTO

1. **Trade distortion:** subsidised production can depress world prices or displace other producers.
2. **Market price support:** MSP/procurement may be counted as Amber support under WTO methodology.
3. **Input support:** fertiliser, electricity, irrigation or credit support may be product-specific or non-product-specific depending on design.
4. **De minimis compliance:** members scrutinise whether non-exempt support exceeds the applicable threshold.
5. **Notification and transparency:** members question timeliness, methodology, eligible production and programme data.
6. **Public stockholding:** food-security objectives conflict with old reference-price methodology and subsidy disciplines.
7. **Asymmetry:** developed countries may provide very large support through historically bound entitlements or measures structured to satisfy Green/Blue criteria, while developing countries rely more on price/input support.
8. **Export effects:** subsidised surplus or disposal can affect world markets.

8.6 India's defensible policy direction

- protect food and livelihood security within special and differential treatment;
- pursue a permanent public-stockholding solution;
- improve timely, transparent WTO notifications;
- use Article 6.2 where the measure meets its criteria;

- shift expenditure toward research, extension, infrastructure, climate resilience and other well-designed minimally distortive support;
- redesign input support to protect small/resource-poor farmers while reducing ecological and production distortion;
- do not classify a programme as Green merely by renaming it.

9. Must-Know Facts for Prelims

- FACT: Direct subsidy and DBT are not synonyms.
- FACT: Fertiliser DBT pays companies based on recorded actual sales; it is not PM-KISAN-style cash paid to the buyer.
- FACT: NBS covers notified P&K fertilisers; urea remains outside NBS.
- FACT: MSP announcement, procurement expenditure and WTO market-price-support measurement are different concepts.
- FACT: Product-specific and non-product-specific de minimis support are tested separately.
- FACT: The general developing-country de minimis threshold is 10%; the developed-country threshold is generally 5%.
- FACT: Green Box measures must satisfy general and policy-specific conditions.
- FACT: Blue Box support requires production-limiting conditions; it is not banned.
- FACT: Article 6.2 provides specified development flexibility for developing countries.
- FACT: The Agreement on Agriculture does not use a general agricultural "red box" parallel to the three commonly discussed Amber, Blue and Green categories.
- FACT: Public stockholding for food security and domestic food aid are distinct from unlimited producer price support; relevant Green Box/peace-clause conditions matter.
- FACT: Tariff protection is market access, not domestic support.

10. UPSC traps

- WRONG: All subsidies are cash transfers.

-> Many operate through prices, inputs, credit, insurance, utilities or procurement.

- WRONG: The person receiving the government cheque necessarily gets the final benefit.

-> Economic incidence changes through prices, rent and quantities.

- WRONG: Input subsidies benefit every farmer equally.

-> Benefit often rises with land, irrigation, connection and input use.

- WRONG: Fertiliser DBT deposits the subsidy in each farmer's bank account.

-> The subsidy is released to companies based on recorded retail sales.

- WRONG: All fertilisers are covered by NBS.

-> Urea is outside NBS.

- WRONG: MSP means universal procurement.

-> Procurement remains crop-, grade-, region- and operation-specific.

- WRONG: WTO calculates price support as actual government procurement expenditure.

-> Its administered-price formula uses the price gap and eligible production.

- WRONG: Every direct income payment is Green Box.

-> It must satisfy decoupling and other Annex 2 criteria.

- WRONG: Green Box spending is automatically harmless.

-> WTO legality and domestic distribution/effectiveness are different questions.

- WRONG: Subsidy reform means abrupt withdrawal.

-> Good reform changes the instrument while protecting income, transition and access.

11. Reform framework: protect the farmer, change the distortion

Existing problem	Reform direction	Safeguard
Quantity-linked fertiliser benefit	Balanced nutrient/crop/soil-responsive support	Assured availability and small-farmer access
Free/unmetered power	Metered quality supply plus transparent protected support	No sudden cost shock; groundwater governance
Low irrigation recovery/maintenance	Participatory accounting and targeted support	Equity for small/tail-end farmers
Credit exclusion	Cultivator-sensitive and cash-flow lending	Prudential checks and grievance redress
Insurance distrust	Better data, disclosure and timely claims	Independent appeal and basis-risk review
Crop/regional procurement concentration	Diversified support and stronger markets	Credible transition income/risk protection
Land-record cash exclusion	Recognise actual cultivator where feasible	Prevent duplication without excluding tenants
Capital asset underuse	Service/FPO/custom-hiring model	Demand assessment and maintenance
Fiscal opacity	Publish explicit and implicit support with beneficiaries/outcomes	Avoid false precision in implicit-subsidy estimates

Seven sequencing rules

1. identify the objective and beneficiary;
2. measure current incidence, not only budget outlay;
3. build alternatives before reducing old support;
4. protect small/resource-poor farmers explicitly;
5. correct output-price, input-price and resource incentives together;
6. phase reform predictably with grievance and compensation;
7. reinvest savings in public goods, resilience and market access.

12. PYQ closure

2023 GS-III exact demand

> What are the direct and indirect subsidies provided to the farm sector in India? Discuss the issues raised by the WTO in relation to agricultural subsidies.

250-word answer engine

Introduction: Define a farm subsidy and caution that domestic delivery labels and WTO classification differ.

Direct support

- PM-KISAN-type income transfer;
- capital/investment grants;
- price-deficiency/direct benefit or reimbursement designs;
- farmer's share of premium/interest support where explicitly transferred.

Indirect support

- fertiliser, electricity, irrigation, seed/machinery services;
- concessional credit and insurance premium channels;
- MSP/procurement and market-price support;

- public services such as research, extension and infrastructure, while distinguishing

these from narrow producer subsidies.

Issues

- fiscal opportunity cost and unequal incidence;
- nutrient, groundwater, crop and regional distortion;
- leakage/exclusion and supplier capture;
- WTO Amber support, de minimis limits, Article 6.2, Green/Blue criteria;
- public-stockholding/reference-price and notification disputes;
- asymmetry between developed- and developing-country support structures.

Way forward

- target actual cultivators and low-income/resource-poor producers;
- rebalance input support toward income, public goods and resilience;
- diversify procurement and correct water-energy-fertiliser incentives;
- transparent notification and permanent public-stockholding solution.

Conclusion: Reform must reduce distortion without withdrawing livelihood and food- security protection.

Answer thesis

> India should move from open-ended quantity-linked input subsidies toward transparent, cultivator-sensitive income/risk support and productivity-enhancing public goods, while preserving food security and using WTO flexibilities honestly and transparently.

13. Revision notes

- Direct/indirect = delivery distinction; WTO boxes = legal distortion criteria.
- Always trace immediate recipient and final incidence.
- Fertiliser DBT pays companies after recorded sale, not cash to farmer.
- NBS covers notified P&K grades; urea is separate.
- Power subsidy must be analysed with groundwater and cropping incentives.
- Irrigation benefit depends on access, location, maintenance and water governance.
- Credit subsidy solves liquidity, not underlying farm viability.
- Insurance premium subsidy requires credible claims and appeal.
- MSP, procurement expenditure and WTO price-support calculation are distinct.
- Green = criteria-based minimal distortion; Amber = non-exempt distortion.
- Blue = production-limiting conditions; Article 6.2 = developing-country flexibility.
- Developing-country de minimis is generally 10%, separately for product-specific and

non-product-specific support.

- Subsidy reform must be sequenced and reinvest savings in public goods.

14. Sources and study links

First-party sources

- WTO agricultural subsidy boxes
- WTO domestic-support framework
- Department of Fertilizers - DBT
- Department of Fertilizers - subsidy
- Department of Fertilizers - P&K/NBS policy
- PM-KISAN

Knowledge-base links

- FACT: `12_MSP-Procurement-Buffer-Stocks-PDS-and-Food-Security.md`.
- FACT: `14_Irrigation-Inputs-Credit-Insurance-and-Sustainable-Agriculture.md`.
- FACT: `20_Foreign-Trade-WTO-FTAs-and-Protectionism.md`.
- FACT: `09_Union-Budget-Fiscal-Policy-and-Deficit-Indicators.md`.
- FACT: `../advanced/28_Direct-and-Indirect-Farm-Subsidies-and-WTO-Rules.md`.

15. Dated anchors - subsidy scale and WTO support (verify vintage before reuse)

- CURRENT: **Fertiliser subsidy scale:** Union Budget 2025-26 allocated approximately **Rs 1.84 lakh crore **for fertiliser subsidy (about Rs 1.19 lakh crore for urea and about Rs 0.49 lakh crore for Nutrient Based Subsidy on P&K fertilisers), a modest reduction from the FY 2024-25 revised estimate of about Rs 1.89 lakh crore. For Rabi 2025-26, the Union Cabinet separately approved about** Rs 37,952 crore** NBS support for P&K fertilisers. ANALYSIS: Budget allocations and revised estimates change every year; re-verify the current-year figure from the latest Union Budget documents before using it as an "as of today" number.

- CURRENT: **WTO market-price-support notification (rice):** India's own WTO domestic-support notification for the 2024-25 marketing year recorded rice support of roughly **$7.6 billion, about 11.85% of the value of rice production**, against the 10% developing-country de minimis threshold; India invoked the Bali Peace Clause to protect this food-security procurement from formal dispute action, as it has done in preceding marketing years since

2020. ANALYSIS: Status caution: this is India's **self-notification** to the WTO using the Agreement's administered-price methodology (Section 8.3), not an adjudicated WTO ruling; the exact percentage is recalculated each marketing year and should not be treated as a fixed, permanent figure. Some trading partners (including the United States) have filed counter-notifications disputing India's market-price-support calculation - the dispute is about methodology and is ongoing, not settled.

- ANALYSIS: Both anchors illustrate the same syllabus point from different ends: the fertiliser figure shows the **fiscal scale** of indirect/input subsidy; the rice figure shows how that scale is **measured and contested** under the WTO's Agreement on Agriculture.

16. Evidence bank: claim -> named evidence -> significance -> limitation/status-caution

16.1 Claim: "Direct" delivery does not mean the subsidy is trade-neutral or automatically Green Box.

- **Named evidence:** PM-KISAN pays Rs 6,000/year directly to eligible landholding farmer families' bank accounts (Section 4.7), yet WTO classification of any direct payment still depends on satisfying decoupling and other Annex 2 criteria (Section 8.2), not on the "direct" label.

- **Significance:** Rebuts the recurring UPSC trap that direct cash automatically equals Green Box; separates the **domestic delivery** question from the **WTO legal** question.

- **Limitation/status-caution:** Land-record-based eligibility can omit tenants, sharecroppers and undocumented cultivators - the delivery mechanism's simplicity does not solve the inclusion problem.

16.2 Claim: Fertiliser DBT pays the company, not the farmer, so "DBT" is not a synonym for "cash to farmer."

- **Named evidence:** Subsidy is released to manufacturers/importers based on actual sales recorded through retailer Point-of-Sale systems under fertiliser DBT (Section 4.1); NBS covers notified P&K grades while urea remains outside NBS.

- **Significance:** Closes the standard "all DBT is cash-in-account" trap and supports any question distinguishing direct from indirect delivery mechanisms.

- **Limitation/status-caution:** Underpriced urea relative to P&K can still encourage nutrient imbalance; correcting the price signal without harming affordability is unresolved.

16.3 Claim: MSP/procurement is an indirect price-support mechanism whose WTO measurement differs sharply from its budgetary cost.

- **Named evidence:** WTO market-price support is calculated as (applied administered price minus a fixed historical external reference price) multiplied by eligible production (Section 8.3), a formula unrelated to the government's actual procurement expenditure.
- **Significance:** Explains why India's support "appears" WTO-large even when budgetary procurement cost is much smaller - the exact mechanism tested in the 2023 GS-III question.
- **Limitation/status-caution:** The frozen historical reference price makes the calculated support look larger after decades of inflation and exchange-rate change - an acknowledged methodological distortion, not proof that Indian farmers are "overpaid" in real terms.

16.4 Claim: The 2013 Bali Peace Clause protects public stockholding but is an interim shield, not a permanent settlement.

- **Named evidence:** The Bali public-stockholding decision gives due-restraint protection for qualifying traditional-staple food-security programmes, subject to transparency and notification (Section 8.4); India has invoked it repeatedly, most recently for rice in the 2024-25 marketing year (Section 15).
- **Significance:** Directly answers "issues raised by the WTO" by naming the exact legal instrument India relies on, rather than a vague "developing-country flexibility" claim.
- **Limitation/status-caution:** The clause is interim and conditional; it does not resolve the underlying reference-price dispute, and repeated invocation each year signals an unresolved rather than settled issue.

16.5 Claim: Electricity and irrigation subsidies are indirect input subsidies whose economic incidence often diverges from the visible recipient.

- **Named evidence:** Free/concessional farm power lowers pumping cost for connected cultivators (Section 4.2), but the water-energy-crop nexus chain shows falling water tables and DISCOM fiscal stress as downstream effects, not merely farmer benefit.
- **Significance:** Supplies the "economic incidence" analytical layer (Section 6) that most candidates skip, converting a list of subsidies into a chain of consequences.
- **Limitation/status-caution:** Benefit is skewed toward farmers who already own a functioning well/connection; landless and rainfed farmers receive little or nothing from this specific instrument.

16.6 Claim: Crop-insurance premium subsidy only works if the underlying data and claims system is trusted.

- **Named evidence:** Government premium support makes participation affordable (Section 4.5), but area-yield/index methods create basis risk, and value depends on reliable yield data and timely settlement.
- **Significance:** Prevents the common error of treating premium subsidy alone as risk management "solved" - links subsidy design to institutional delivery quality.
- **Limitation/status-caution:** Where enrolment, yield data or claim calculation is distrusted, the premium subsidy's welfare value collapses even if the fiscal outlay is high.

17. Core limitations and trade-offs

#	Trade-off	Why it is genuinely double-edged
1	**Affordability versus resource sustainability**	Cheap fertiliser/power/water raises short-run input affordability and output, but the same underpricing drives nutrient imbalance and groundwater depletion - the instrument that helps production also erodes its future base.
2	**Targeting simplicity versus inclusion**	Land-record-based direct transfers (PM-KISAN) and market-price support both scale easily through existing records, but both under-reach tenants, sharecroppers and rainfed/landless households who lack recognised land documents.
3	**Domestic food security versus WTO discipline**	MSP-backed procurement protects food-security stocks and producer income, but the same procurement is measured by WTO methodology as large market-price support, inviting counter-notification and dispute even when it is not export-dumping.
4	**Fiscal cost versus political durability**	Politically popular universal/flat subsidies (free power, blanket fertiliser pricing) are easy to sustain electorally but crowd out research, extension and infrastructure spending that raise long-run productivity.
5	**Speed of relief versus distortion risk**	Price/input support delivers fast relief during distress, but persistent input-linked subsidy (rather than time-bound, output-neutral support) locks farmers into water- or nutrient-intensive cropping patterns even after the original justification fades.
6	**Transparency versus complexity**	Converting implicit subsidies (underpriced power/water) into explicit, transparent support improves fiscal honesty and targeting, but explicit support is politically harder to introduce than continuing an invisible, bundled concession.

18. Answer architecture (10/15/20-mark support)

18.1 Directive decoder

Directive word	What the examiner is actually asking for
Discuss	Multiple support instruments plus at least one clear line of reasoning connecting them to outcomes.
Examine / Analyse	Dissect delivery mechanism, incidence and distortion - not a scheme list.
Evaluate / Critically discuss	Explicit reasoned verdict on whether the support instrument, on balance, helps or distorts.
Enumerate / Describe	Structured factual listing with correct classification (direct/indirect; WTO box).
Comment	Short judgement with one supporting reason.

18.2 Evidence selection by mark value

- **10 marks/150 words:** 1 direct + 1 indirect subsidy example from Section 16, one incidence point (Section 6), one WTO-box reference (Section 8.2), and a one-line verdict.
- **15 marks/250 words:** the full 2023 GS-III template at Section 12 - direct + indirect support, three WTO issues, one dated anchor from Section 15, and a reform-direction verdict.
- **20 marks:** add a second dated anchor from Section 15, at least two trade-offs from Section 17, and an explicit developed-versus-developing-country asymmetry argument (Section 8.5.7) before the verdict.

18.3 Counter-evidence integration rule

Any claimed subsidy "benefit" (affordability, income support, food security) must be paired in the same paragraph with its incidence, distortion or WTO-classification caveat from Section 16 or Section 17 - this is what separates a "Discuss" answer from a mere list.

18.4 10/15/20 mark-scaling template

```
10 MARKS (150 words)
Intro: define subsidy + direct/indirect distinction (1 line)
Direct + indirect example with incidence note (4 lines)
One WTO-box reference (2 lines)
Verdict (1 line)

15 MARKS (250 words)
Intro (1 line)
Direct support (2 lines) + Indirect support (3 lines)
WTO issues: Amber/de minimis/Peace Clause (4 lines)
One dated anchor from Section 15 (2 lines)
Way-forward verdict (2 lines)

20 MARKS (250-300 words)
Intro (1 line)
Direct + indirect support with incidence (5 lines)
WTO issues including asymmetry argument (5 lines)
Two dated anchors from Section 15 (3 lines)
Two trade-offs from Section 17 (3 lines)
Reasoned verdict + reform sequencing (3 lines)
```

18.5 Reasoned-verdict template

> "[Subsidy instrument] supports [stated objective] as shown by [named evidence/anchor from Section 15-16]; however, [incidence/distortion/WTO issue] means the benefit is [qualified - partial/regionally skewed/fiscally contested]. India's defensible path is therefore [reform direction from Section 8.6/Section 11], balancing food/livelihood security against WTO transparency and ecological sustainability."

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md`, `_PYQ-ROUTING-PRELIMS-2018-2023.md`. **Answer-key rule:** The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2020, 2023
- **Paper(s):** GS-III, Prelims GS-I
- **Routed question demands:** 2

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2020	Prelims GS-I	94	Chemical fertilizers ammonia source sulphur input and pricing	Objective question; official key unavailable locally	Cross-routed to input fundamentals and fertiliser pricing/subsidy owner; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2023	GS-III	14	Farm subsidies in India and WTO dispute on agricultural support	Discuss · 15 marks · 250 words	Routed to dedicated farm-subsidy/WTO owner	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Chemical fertilizers ammonia source sulphur input and pricing
- Farm subsidies in India and WTO dispute on agricultural support

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

Semantic-completeness ownership and PYQ control

- **Official syllabus/index and owned core:** Farm support includes budgetary transfers, price support, input subsidies, credit and infrastructure; WTO Agreement on Agriculture classifies support by policy design and trade effect rather than domestic political label.
- **Indispensable distinction and prerequisite taxonomy:** Direct versus indirect subsidy is not WTO green/amber/blue classification, MSP announcement is not product-specific support calculation, notified support is not adjudicated breach, and a peace clause is not permanent exemption.
- **Mechanism, implementation and evidence control:** Qualify eligible production value, external reference price, currency/inflation issue, de minimis and developing-member treatment from authoritative text; separate notification, question, dispute and ruling without inventing box limits.
- **FACT: Verified current fact (official sources rechecked 5 September 2026):**

Rechecked 6 September 2026 against the listed official publisher or regulator source. The WTO and fertiliser pages substantively confirmed legal categories and the fertiliser payment channel. No subsidy outlay, beneficiary count, notification percentage, peace-clause invocation, product support value or current dispute outcome was imported. Sources: https://www.wto.org/english/tratop_e/agric_e/agboxes_e.htm; https://www.wto.org/english/tratop_e/agric_e/ag_intro03_domestic_e.htm; https://www.fert.gov.in/en/department/our-wings/direct-benefit-transfer-dbt

- **ANALYSIS: Analytical inference:** institutional design, allocation, a portal, a

registration, a report, a training completion, a disposal count or a ranking can support a causal argument only after authority, capacity, incentives, distribution, implementation, grievance, outcome and alternative explanations are tested.

- **Canonical and cross-owner boundary:** this Economy owner teaches the

authority-to-delivery-to-remedy chain. Detailed constitutional doctrine stays with Polity; sector entitlement design stays with Social Justice; macro-fiscal doctrine stays with Economy; ethics theory stays with Ethics. Cross-owner evidence may be routed but is not silently duplicated or re-owned.

- **Four-ledger hostile audit:** literal syllabus, indispensable prerequisites,

standard public-administration/economy taxonomy and complete verified PYQ demands were checked for absent concepts, institutions, mechanisms, classifications, exceptions, comparisons, criticisms, current status, answer architecture and dependent artifacts.

- **Verified PYQ ownership, 2018-2026:** Audited ledgers route the 2023 GS-III farm-subsidy/WTO demand and the 2020 objective fertiliser concept. The Basic/practice firewall preserves fertiliser pricing, ammonia and sulphur distinctions without inferring an unavailable objective answer key.

ECONOMY DEEP-REVIEW CORE CONTROL

- **Must remember:** Farm support includes budgetary transfers, price support, input subsidies, credit and infrastructure; WTO Agreement on Agriculture classifies support by policy design and trade effect rather than domestic political label.
- **Close distinction:** Direct versus indirect subsidy is not WTO green/amber/blue classification, MSP announcement is not product-specific support calculation, notified support is not adjudicated breach, and a peace clause is not permanent exemption.
- **Formula / status / evidence / causal limit:** Qualify eligible production value, external reference price, currency/inflation issue, de minimis and developing-member treatment from authoritative text; separate notification, question, dispute and ruling without inventing box limits.

BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies Delivery and legal classification?

A. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. B. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. C. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. D. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer.

Answer: A. Explanation: Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of Delivery and legal classification?

A. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. B. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. C. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. D. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework.

Answer: B. Explanation: Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses Delivery and legal classification without losing its vintage, basket or legal status?

A. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. B. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. C. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. D. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak.

Answer: C. Explanation: Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about Delivery and legal classification?

A. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. B. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. C. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. D. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box.

Answer: D. Explanation: Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies Explicit and implicit support?

A. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. B. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. C. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. D. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework.

Answer: A. Explanation: Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of Explicit and implicit support?

A. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. B. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. C. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. D. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak.

Answer: B. Explanation: Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses Explicit and implicit support without losing its vintage, basket or legal status?

A. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. B. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. C. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. D. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving.

Answer: C. Explanation: Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about Explicit and implicit support?

A. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. B. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. C. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. D. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary.

Answer: D. Explanation: Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies Income support boundary?

A. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. B. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. C. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. D. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak.

Answer: A. Explanation: Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of Income support boundary?

A. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. B. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. C. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. D. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving.

Answer: B. Explanation: Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses Income support boundary without losing its vintage, basket or legal status?

A. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. B. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. C. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. D. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak.

Answer: C. Explanation: Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about Income support boundary?

A. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. B. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. C. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. D. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators.

Answer: D. Explanation: Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies Fertiliser DBT boundary?

A. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. B. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. C. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. D. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving.

Answer: A. Explanation: Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of Fertiliser DBT boundary?

A. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. B. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. C. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. D. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak.

Answer: B. Explanation: Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses Fertiliser DBT boundary without losing its vintage, basket or legal status?

A. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. B. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. C. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. D. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries.

Answer: C. Explanation: Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about Fertiliser DBT boundary?

A. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. B. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. C. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. D. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer.

Answer: D. Explanation: Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies NBS and urea distinction?

A. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. B. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. C. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. D. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak.

Answer: A. Explanation: Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of NBS and urea distinction?

A. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. B. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. C. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. D. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries.

Answer: B. Explanation: Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses NBS and urea distinction without losing its vintage, basket or legal status?

A. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. B. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. C. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. D. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust.

Answer: C. Explanation: Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about NBS and urea distinction?

A. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. B. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. C. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. D. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework.

Answer: D. Explanation: Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q21. Which statement correctly identifies Power-water-crop nexus?

A. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. B. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. C. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. D. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries.

Answer: A. Explanation: Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of Power-water-crop nexus?

A. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. B. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. C. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. D. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust.

Answer: B. Explanation: Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses Power-water-crop nexus without losing its vintage, basket or legal status?

A. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. B. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. C. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. D. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy.

Answer: C. Explanation: Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about Power-water-crop nexus?

A. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. B. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. C. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. D. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak.

Answer: D. Explanation: Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies Irrigation incidence?

A. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. B. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. C. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. D. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust.

Answer: A. Explanation: Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of Irrigation incidence?

A. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. B. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. C. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. D. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy.

Answer: B. Explanation: Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses Irrigation incidence without losing its vintage, basket or legal status?

A. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. B. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. C. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. D. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks.

Answer: C. Explanation: Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about Irrigation incidence?

A. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. B. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. C. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. D. Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving.

Answer: D. Explanation: Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. The other options belong to different measures, vintages, baskets, instruments,

institutions or legal perimeters.

Q29. Which statement correctly identifies Credit and insurance support?

A. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. B. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. C. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. D. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy.

Answer: A. Explanation: Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of Credit and insurance support?

A. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. B. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. C. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. D. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks.

Answer: B. Explanation: Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses Credit and insurance support without losing its vintage, basket or legal status?

A. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. B. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. C. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. D. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact.

Answer: C. Explanation: Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about Credit and insurance support?

A. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. B. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. C. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. D. Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak.

Answer: D. Explanation: Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies MSP, procurement and expenditure?

A. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. B. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. C. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. D. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks.

Answer: A. Explanation: MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of MSP, procurement and expenditure?

A. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. B. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. C. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. D. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact.

Answer: B. Explanation: MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses MSP, procurement and expenditure without losing its vintage, basket or legal status?

A. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. B. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. C. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. D. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent.

Answer: C. Explanation: MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about MSP, procurement and expenditure?

A. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. B. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. C. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. D. MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries.

Answer: D. Explanation: MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies Economic incidence?

A. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. B. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. C. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. D. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact.

Answer: A. Explanation: The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of Economic incidence?

A. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. B. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. C. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. D. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent.

Answer: B. Explanation: The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses Economic incidence without losing its vintage, basket or legal status?

A. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. B. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. C. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. D. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions.

Answer: C. Explanation: The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about Economic incidence?

A. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. B. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. C. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. D. The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust.

Answer: D. Explanation: The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies Producer and consumer support?

A. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. B. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. C. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. D. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent.

Answer: A. Explanation: Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of Producer and consumer support?

A. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. B. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. C. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. D. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions.

Answer: B. Explanation: Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses Producer and consumer support without losing its vintage, basket or legal status?

A. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. B. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. C. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. D. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers.

Answer: C. Explanation: Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about Producer and consumer support?

A. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. B. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. C. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. D. Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy.

Answer: D. Explanation: Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies Public goods and capital grants?

A. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. B. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. C. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. D. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions.

Answer: A. Explanation: Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of Public goods and capital grants?

A. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. B. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. C. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. D. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers.

Answer: B. Explanation: Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses Public goods and capital grants without losing its vintage, basket or legal status?

A. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. B. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. C. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. D. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure.

Answer: C. Explanation: Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about Public goods and capital grants?

A. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. B. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. C. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. D. Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks.

Answer: D. Explanation: Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies WTO domestic-support pillars?

A. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. B. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. C. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. D. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers.

Answer: A. Explanation: The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of WTO domestic-support pillars?

A. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. B. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. C. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. D. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure.

Answer: B. Explanation: The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses WTO domestic-support pillars without losing its vintage, basket or legal status?

A. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. B. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. C. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. D. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption.

Answer: C. Explanation: The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about WTO domestic-support pillars?

A. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. B. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. C. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. D. The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact.

Answer: D. Explanation: The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies Amber and de minimis?

A. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. B. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. C. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. D. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure.

Answer: A. Explanation: Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of Amber and de minimis?

A. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. B. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. C. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. D. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption.

Answer: B. Explanation: Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses Amber and de minimis without losing its vintage, basket or legal status?

A. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. B. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. C. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. D. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods.

Answer: C. Explanation: Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about Amber and de minimis?

A. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. B. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. C. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. D. Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent.

Answer: D. Explanation: Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies Green and Blue Boxes?

A. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. B. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. C. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. D. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption.

Answer: A. Explanation: Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of Green and Blue Boxes?

A. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. B. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. C. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. D. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods.

Answer: B. Explanation: Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses Green and Blue Boxes without losing its vintage, basket or legal status?

A. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. B. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. C. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. D. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute.

Answer: C. Explanation: Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about Green and Blue Boxes?

A. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. B. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. C. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. D. Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions.

Answer: D. Explanation: Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies Article 6.2 flexibility?

A. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. B. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. C. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. D. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods.

Answer: A. Explanation: Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of Article 6.2 flexibility?

A. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. B. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. C. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. D. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute.

Answer: B. Explanation: Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q63. Which statement uses Article 6.2 flexibility without losing its vintage, basket or legal status?

A. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. B. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. C. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. D. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box.

Answer: C. Explanation: Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about Article 6.2 flexibility?

A. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. B. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. C. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. D. Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers.

Answer: D. Explanation: Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies AMS measurement boundary?

A. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. B. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. C. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. D. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute.

Answer: A. Explanation: Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of AMS measurement boundary?

A. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. B. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. C. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. D. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box.

Answer: B. Explanation: Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses AMS measurement boundary without losing its vintage, basket or legal status?

A. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. B. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. C. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. D. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary.

Answer: C. Explanation: Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about AMS measurement boundary?

A. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. B. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. C. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. D. Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure.

Answer: D. Explanation: Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies Public stockholding status?

A. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. B. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. C. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. D. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box.

Answer: A. Explanation: The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of Public stockholding status?

A. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. B. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. C. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. D. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary.

Answer: B. Explanation: The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses Public stockholding status without losing its vintage, basket or legal status?

A. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. B. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. C. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. D. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators.

Answer: C. Explanation: The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q72. Which option avoids the standard UPSC close-option trap about Public stockholding status?

A. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. B. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. C. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. D. The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption.

Answer: D. Explanation: The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies Reform sequencing?

A. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. B. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. C. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. D. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary.

Answer: A. Explanation: Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of Reform sequencing?

A. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. B. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. C. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. D. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators.

Answer: B. Explanation: Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses Reform sequencing without losing its vintage, basket or legal status?

A. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. B. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. C. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. D. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer.

Answer: C. Explanation: Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about Reform sequencing?

A. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. B. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. C. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. D. Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods.

Answer: D. Explanation: Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q77. Which statement correctly identifies WTO transparency boundary?

A. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. B. Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. C. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. D. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators.

Answer: A. Explanation: Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of WTO transparency boundary?

A. Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. B. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. C. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. D. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer.

Answer: B. Explanation: Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses WTO transparency boundary without losing its vintage, basket or legal status?

A. Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. B. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. C. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. D. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework.

Answer: C. Explanation: Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about WTO transparency boundary?

A. Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. B. Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. C. Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. D. Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute.

Answer: D. Explanation: Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ OWNERSHIP AUDIT

Audited ledgers route the 2023 GS-III farm-subsidy/WTO demand and the 2020 objective fertiliser concept. The Basic/practice firewall preserves fertiliser pricing, ammonia and sulphur distinctions without inferring an unavailable objective answer key.

OWNER PYQ LEDGER EXTRACTS

12. PYQ closure

2023 GS-III exact demand

> What are the direct and indirect subsidies provided to the farm sector in India? Discuss the issues raised by the WTO in relation to agricultural subsidies.

250-word answer engine

Introduction: Define a farm subsidy and caution that domestic delivery labels and WTO classification differ.

Direct support

- PM-KISAN-type income transfer;
- capital/investment grants;
- price-deficiency/direct benefit or reimbursement designs;

- farmer's share of premium/interest support where explicitly transferred.

Indirect support

- fertiliser, electricity, irrigation, seed/machinery services;
- concessional credit and insurance premium channels;
- MSP/procurement and market-price support;
- public services such as research, extension and infrastructure, while distinguishing

these from narrow producer subsidies.

Issues

- fiscal opportunity cost and unequal incidence;
- nutrient, groundwater, crop and regional distortion;
- leakage/exclusion and supplier capture;
- WTO Amber support, de minimis limits, Article 6.2, Green/Blue criteria;
- public-stockholding/reference-price and notification disputes;
- asymmetry between developed- and developing-country support structures.

Way forward

- target actual cultivators and low-income/resource-poor producers;
- rebalance input support toward income, public goods and resilience;
- diversify procurement and correct water-energy-fertiliser incentives;
- transparent notification and permanent public-stockholding solution.

Conclusion: Reform must reduce distortion without withdrawing livelihood and food- security protection.

Answer thesis

> India should move from open-ended quantity-linked input subsidies toward transparent, cultivator-sensitive income/risk support and productivity-enhancing public goods, while preserving food security and using WTO flexibilities honestly and transparently.

Demand decoding: The directive **answer** requires a direct position on "12. PYQ closure", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: The answer must resolve the Economy demand in "12. PYQ closure".

Analytical body:

1. **Claim and named evidence:** What are the direct and indirect subsidies provided to the farm sector in India? Discuss **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** the issues raised by the WTO in relation to agricultural subsidies. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Introduction: Define a farm subsidy and caution that domestic delivery labels and WTO **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

4. **Claim and named evidence:** price-deficiency/direct benefit or reimbursement designs **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** farmer's share of premium/interest support where explicitly transferred. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
6. **Claim and named evidence:** fertiliser, electricity, irrigation, seed/machinery services **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: The answer must resolve the Economy demand in "12. PYQ closure".

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "12. PYQ closure", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md`, `_PYQ-ROUTING-PRELIMS-2018-2023.md`. **Answer-key rule:** The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2020, 2023
- **Paper(s):** GS-III, Prelims GS-I
- **Routed question demands:** 2

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2020	Prelims GS-I	94	Chemical fertilizers ammonia source sulphur input and pricing	Objective question; official key unavailable locally	Cross-routed to input fundamentals and fertiliser pricing/subsidy owner; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2023	GS-III	14	Farm subsidies in India and WTO dispute on agricultural support	Discuss · 15 marks · 250 words	Routed to dedicated farm-subsidy/WTO owner	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Chemical fertilizers ammonia source sulphur input and pricing
- Farm subsidies in India and WTO dispute on agricultural support

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md`.

- **Years represented:** 2023
- **Paper(s):** GS-III
- **Routed question demands:** 1

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2023	GS-III	14	Farm subsidies in India and WTO dispute on agricultural support	Discuss · 15 marks · 250 words	Routed to dedicated farm-subsidy/WTO owner	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Farm subsidies in India and WTO dispute on agricultural support

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

PYQ DEMAND CARD 1 - 2023 GS-III

Demand: Direct and indirect farm subsidies in India and issues raised at the WTO.

Status: Official-paper demand routed in the audited 2018-2023 GS-III ledger; no official model answer is claimed.

Model solution: Delivery and legal classification: Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. **Fertiliser DBT boundary:** Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. **Power-water-crop nexus:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **MSP, procurement and expenditure:** MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. **Amber and de minimis:** Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. **Green and Blue Boxes:** Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. **Article 6.2 flexibility:** Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. **Public stockholding status:** The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. **WTO transparency boundary:** Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Demand decoding: The directive **answer** requires a direct position on "PYQ DEMAND CARD 1 - 2023 GS-III", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Delivery and legal classification: Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. **Fertiliser DBT boundary:** Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. **Power-water-crop nexus:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **MSP, procurement and expenditure:** MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. **Amber and de minimis:** Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. **Green and Blue Boxes:** Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. **Article 6.2 flexibility:** Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. **Public stockholding status:** The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. **WTO transparency boundary:** Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Analytical body:

1. **Claim and named evidence:** Demand: Direct and indirect farm subsidies in India and issues raised at the WTO. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Status: Official-paper demand routed in the audited 2018-2023 GS-III ledger; no official model answer is claimed. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Delivery and legal classification: Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. **Fertiliser DBT boundary:** Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. **Power-water-crop nexus:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **MSP, procurement and expenditure:** MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. **Amber and de minimis:** Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. **Green and Blue Boxes:** Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. **Article 6.2 flexibility:** Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. **Public stockholding status:** The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. **WTO transparency boundary:** Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "PYQ DEMAND CARD 1 - 2023 GS-III", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish direct, indirect, explicit and implicit farm support. Answer in about 150 words.

Model thesis: Claim: Delivery and legal classification. **Named evidence/example:** Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Explicit and implicit support. **Named evidence/example:** Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Income support boundary. **Named evidence/example:** Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box.
- Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary.
- Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators.

Qualified conclusion: Claim: Delivery and legal classification. **Named evidence/example:** Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Explicit and implicit support. **Named evidence/example:** Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Income support boundary. **Named evidence/example:** Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on "Distinguish direct, indirect, explicit and implicit farm support. Answer in about 150 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Delivery and legal classification. **Named evidence/example:** Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Explicit and implicit support. **Named evidence/example:** Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Income support boundary. **Named evidence/example:** Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Delivery and legal classification. **Named evidence/example:** Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Explicit and implicit support. **Named evidence/example:** Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Income support boundary. **Named evidence/example:** Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Distinguish direct, indirect, explicit and implicit farm support. Answer in about 150 words.", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 2 - 10 MARKS

Question: Explain why fertiliser DBT is not a cash transfer to the farmer. Answer in about 150 words.

Model thesis: Claim: Fertiliser DBT boundary. **Named evidence/example:** Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** NBS and urea distinction. **Named evidence/example:** Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer.
- Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework.

Qualified conclusion: Claim: Fertiliser DBT boundary. **Named evidence/example:** Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** NBS and urea distinction. **Named evidence/example:** Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **explain** requires a direct position on "Explain why fertiliser DBT is not a cash transfer to the farmer. Answer in about 150 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Fertiliser DBT boundary. **Named evidence/example:** Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** NBS and urea distinction. **Named evidence/example:** Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Fertiliser DBT boundary. **Named evidence/example:** Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** NBS and urea distinction. **Named evidence/example:** Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Explain why fertiliser DBT is not a cash transfer to the farmer. Answer in about 150 words.", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 3 - 15 MARKS

Question: Analyse the economic incidence and ecological effects of farm input subsidies. Answer in about 250 words.

Model thesis: Claim: Power-water-crop nexus. **Named evidence/example:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Irrigation incidence. **Named evidence/example:** Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Credit and insurance support. **Named evidence/example:** Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Economic incidence. **Named evidence/example:** The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak.
- Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving.
- Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak.
- The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust.

Qualified conclusion: Claim: Power-water-crop nexus. **Named evidence/example:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Irrigation incidence. **Named evidence/example:** Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Credit and insurance support. **Named evidence/example:** Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Economic incidence. **Named evidence/example:** The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **analyse** requires a direct position on "Analyse the economic incidence and ecological effects of farm input subsidies. Answer in...", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Power-water-crop nexus. **Named evidence/example:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Irrigation incidence. **Named evidence/example:** Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Credit and insurance support. **Named evidence/example:** Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Economic incidence. **Named evidence/example:** The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

3. **Claim and named evidence:** Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Power-water-crop nexus. **Named evidence/example:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Irrigation incidence. **Named evidence/example:** Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Credit and insurance support. **Named evidence/example:** Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Economic incidence. **Named evidence/example:** The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Analyse the economic incidence and ecological effects of farm input subsidies. Answer in...", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 4 - 15 MARKS

Question: Distinguish WTO Amber, Green, Blue and Article 6.2 treatment. Answer in about 250 words.

Model thesis: Claim: WTO domestic-support pillars. **Named evidence/example:** The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Amber and de minimis. **Named evidence/example:** Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Green and Blue Boxes. **Named evidence/example:** Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Article 6.2 flexibility. **Named evidence/example:** Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact.
- Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent.
- Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions.
- Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers.

Qualified conclusion: Claim: WTO domestic-support pillars. **Named evidence/example:** The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Amber and de minimis. **Named evidence/example:** Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Green and Blue Boxes. **Named evidence/example:** Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Article 6.2 flexibility. **Named evidence/example:** Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on "Distinguish WTO Amber, Green, Blue and Article 6.2 treatment. Answer in about 250 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: WTO domestic-support pillars. **Named evidence/example:** The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Amber and de minimis. **Named evidence/example:** Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Green and Blue Boxes. **Named evidence/example:** Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Article 6.2 flexibility. **Named evidence/example:** Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price,

quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

3. **Claim and named evidence:** Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: WTO domestic-support pillars. **Named evidence/example:** The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Amber and de minimis. **Named evidence/example:** Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Green and Blue Boxes. **Named evidence/example:** Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Article 6.2 flexibility. **Named evidence/example:** Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Distinguish WTO Amber, Green, Blue and Article 6.2 treatment. Answer in about 250 words.", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 5 - 20 MARKS

Question: Discuss India's public-stockholding dispute and the legal status of the peace clause. Answer in about 300 words.

Model thesis: Claim: MSP, procurement and expenditure. **Named evidence/example:** MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** AMS measurement boundary. **Named evidence/example:** Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Public stockholding status. **Named evidence/example:** The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** WTO transparency boundary. **Named evidence/example:** Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries.
- Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure.
- The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption.
- Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute.

Qualified conclusion: Claim: MSP, procurement and expenditure. **Named evidence/example:** MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** AMS measurement boundary. **Named evidence/example:** Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Public stockholding status. **Named evidence/example:** The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** WTO transparency boundary. **Named evidence/example:** Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **discuss** requires a direct position on "Discuss India's public-stockholding dispute and the legal status of the peace clause. Answer...", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: MSP, procurement and expenditure. **Named evidence/example:** MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** AMS measurement boundary. **Named evidence/example:** Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Public stockholding status. **Named evidence/example:** The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** WTO transparency boundary. **Named evidence/example:** Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: MSP, procurement and expenditure. **Named evidence/example:** MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** AMS measurement boundary. **Named evidence/example:** Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Public stockholding status. **Named evidence/example:** The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** WTO transparency boundary. **Named evidence/example:** Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Discuss India's public-stockholding dispute and the legal status of the peace clause. Answer...", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 6 - 20 MARKS

Question: Design a sequenced reform of Indian farm support that protects livelihoods and food security. Answer in about 300 words.

Model thesis: Claim: Income support boundary. **Named evidence/example:** Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Power-water-crop nexus. **Named evidence/example:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Credit and insurance support. **Named evidence/example:** Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Economic incidence. **Named evidence/example:** The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Producer and consumer support. **Named evidence/example:** Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Public goods and capital grants. **Named evidence/example:** Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Reform sequencing. **Named evidence/example:** Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators.
- Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak.
- Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak.
- The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust.
- Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy.
- Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks.
- Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods.

Qualified conclusion: Claim: Income support boundary. **Named evidence/example:** Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Power-water-crop nexus. **Named evidence/example:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Credit and insurance support. **Named evidence/example:** Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Economic incidence. **Named evidence/example:** The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Producer and consumer support. **Named evidence/example:** Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Public goods and capital grants. **Named evidence/example:** Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Reform sequencing. **Named evidence/example:** Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on "Design a sequenced reform of Indian farm support that protects livelihoods and food security....", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Income support boundary. **Named evidence/example:** Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Power-water-crop nexus. **Named evidence/example:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Credit and insurance support. **Named evidence/example:** Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Economic incidence. **Named evidence/example:** The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Producer and consumer support. **Named evidence/example:** Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:**

Public goods and capital grants. **Named evidence/example:** Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Reform sequencing. **Named evidence/example:** Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
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4. **Claim and named evidence:** The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
6. **Claim and named evidence:** Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
7. **Claim and named evidence:** Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest

in public goods. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Income support boundary. **Named evidence/example:** Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Power-water-crop nexus. **Named evidence/example:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Credit and insurance support. **Named evidence/example:** Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Economic incidence. **Named evidence/example:** The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Producer and consumer support. **Named evidence/example:** Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Public goods and capital grants. **Named evidence/example:** Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Reform sequencing. **Named evidence/example:** Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis ->

qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Design a sequenced reform of Indian farm support that protects livelihoods and food security....", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

> **Subject:** Economy | **Tier:** Advanced optional enrichment | **GS Paper:** GS-III. **Firewall:** All indispensable definitions, Indian instruments, WTO rules, traps and PYQ answer architecture are contained in Core. *Core owner:* `../basic/28_Direct-and-Indirect-Farm-Subsidies-and-WTO-Rules.md`.

1. Analytical architecture

```
MARKET/POLICY FAILURE
income risk · missing credit · externality · food security · transition
                            |
                            v
INSTRUMENT CHOICE
cash · price wedge · input subsidy · insurance · public good
                            |
                            v
INCIDENCE AND RESPONSE
prices · rent · quantity · crop · technology · resource use
                            |
                            v
DYNAMIC EFFECT
investment · dependence · lock-in · political constituency · environment
                            |
                            v
REFORM TEST
additionality · equity · efficiency · resilience · WTO compatibility
```

Advanced claim: The quality of farm support depends on whether it corrects a clearly identified failure at lower social cost than alternative instruments after accounting for incidence, behavioural response, political persistence and ecological feedback.

2. Price-wedge and incidence model

Suppose an input has an unsubsidised supply price `P` and the farmer pays `Pf`.

```
Per-unit subsidy wedge = P - Pf
Fiscal cost ≈ wedge x subsidised quantity
```

This accounting identity does not determine welfare:

- if supply is inelastic, part of support may raise supplier rent;
- if demand expands strongly, fiscal and environmental cost rises;
- if land is rented, expected subsidy benefits may be capitalised into rent;
- if output supply rises, consumers may receive part of the benefit through lower prices;
- rationing, queues or poor quality can offset the nominal price benefit.

Advanced lesson: Budget recipient, statutory beneficiary and economic incidence are three different objects.

3. Instrument-choice hierarchy

Policy failure	Usually stronger first instrument	Why
General low income	Targeted/transparent income support	Does not force one input or crop choice
Positive environmental externality	Outcome- or practice-linked payment with monitoring	Rewards social benefit
Missing research/extension	Public provision	Knowledge spillovers limit private supply
Temporary input-price shock	Time-bound calibrated support	Prevents destructive adjustment
Credit rationing from information failure	Better records, guarantees and risk sharing	Price subsidy alone may not expand access
Catastrophic production risk	Insurance plus prevention/public relief	Combines risk transfer and risk reduction
Food-security stock need	Rule-based procurement/storage	Directly creates the required stock

ANALYSIS: Second-best conditions matter. Where land records, metering, markets or administrative capacity are weak, a theoretically precise instrument may exclude more people than a broader but less efficient one.

4. Coupling spectrum

```
MORE COUPLED                                        MORE DECOUPLED
per-unit input -> per-unit output -> current area -> historical base -> general income

Stronger immediate production incentive
Higher risk of crop/input distortion
```

- Coupling is not automatically bad: temporary adoption support may intentionally change behaviour.
- Decoupling is not automatically equitable: land-based historical entitlements can preserve existing ownership inequality.
- The correct question is whether the induced behaviour serves a legitimate objective and whether a less distortive alternative exists.

5. Political economy of persistence

Subsidies create constituencies among:

- farmers receiving the benefit;
- suppliers/manufacturers;
- utilities, banks, insurers and procurement agencies;
- regions/crops organised around the support;
- political actors promising continuity.

Why inefficient support persists

1. benefit is visible and concentrated while tax/ecological cost is dispersed;
2. withdrawal is immediate while reform benefits are uncertain or delayed;
3. the subsidy compensates for another unresolved failure;
4. beneficiaries distrust promised cash or public investment;
5. measurement of implicit support is contested;
6. federal competition rewards expansion.

Reform implication: credible sequencing and institution-building are economic requirements, not merely communication strategies.

6. Interlocking subsidy systems

Water-energy-crop-price loop

```
cheap power
   -> cheap pumping
   -> water-intensive crop
   -> procurement assurance
   -> continued crop choice
   -> groundwater decline
   -> more pumping energy
```

Reforming only electricity price while leaving procurement and transition risk unchanged can cause income loss without crop change. Reform must combine:

- protected income support;
- reliable metered supply;
- groundwater governance;
- alternative crop markets;
- insurance and extension;
- procurement diversification.

Fertiliser-output loop

```
relative urea cheapness
   -> nitrogen-heavy application
   -> short-run yield response
   -> soil/nutrient imbalance
   -> larger corrective input need
```

The policy unit is the complete nutrient-soil-crop system, not one fertiliser price.

7. Targeting design

Targeting basis	Advantage	Exclusion/manipulation risk
Land ownership	Administratively verifiable	Misses tenants/sharecroppers; gendered title
Farm size	Direct equity proxy	Fragmentation/record errors; ignores crop/risk
Actual input purchase	Links benefit to use	Rewards quantity and may encourage overuse
Crop/region	Addresses specific need	Lobbying, classification and monoculture
Income/wealth	Equity-oriented	Rural income measurement is difficult
Actual cultivation	Closest to intended farmer	Verification cost and seasonality
Environmental outcome	Rewards social benefit	Measurement, permanence and additionality

Inclusion test

1. Is the actual cultivator recognised?
2. Can a farmer without digital/land documentation access correction?
3. Does a larger user receive more support merely by consuming more?
4. Is women's cultivation visible where title is male-held?
5. Can the beneficiary appeal denial before the season is lost?

8. Fiscal and opportunity-cost analysis

Subsidy evaluation should include:

- direct budget outlay;
- arrears or delayed reimbursement;
- state/utility losses and contingent liabilities;
- administrative and verification cost;

- environmental remediation;
- foregone research, extension, irrigation maintenance or rural infrastructure;
- distribution of benefit by farm size, crop and region.

> **Advanced trap:** A reduction in an explicit subsidy can increase hidden liabilities if public suppliers are ordered to maintain low prices without timely compensation.

9. WTO reasoning beyond memorising boxes

Domestic label versus WTO test

Domestic description	WTO question
Income support	Is it decoupled from current production/prices and compliant with Annex 2?
Input subsidy	Does Article 6.2 apply, or is it non-exempt product/non-product support?
MSP/procurement	Does administered price create measurable market price support?
Public stockholding	Are food-security criteria and applicable interim protection conditions met?
Infrastructure	Is it a compliant general service rather than a producer-specific transfer?
Environmental payment	Is eligibility tied to a clearly defined programme and limited to relevant costs/loss?

Structural asymmetry debate

- Some developed members retain large historically scheduled AMS entitlements.
- Green and Blue Box design can permit high support if criteria are met.
- Developing countries with large low-income farm populations often use input and

administered-price instruments more exposed to Amber/de minimis scrutiny.

- This produces a negotiation conflict between formal category compliance and perceived

development fairness.

Public-stockholding calculation controversy

```
Current administered price
- historical fixed external reference price
x eligible production
= measured market price support
```

Inflation and currency changes can widen the nominal gap even if real support has not risen proportionately. Disputes also concern:

- whether eligible production or actual procured quantity should enter;
- treatment of inflation and external reference prices;
- programme transparency and stock disposal;
- food-security need versus trade spillover.

10. Reform scenarios

Scenario A - replace free power with direct support

Potential gain: transparent fiscal cost, conservation incentive and better supply quality.

Failure risk: tenant exclusion, inadequate transfer, non-metered baseline, crop-price unchanged and political distrust.

Required package: metering/feeder quality, cultivator registry, protected entitlement, aquifer rules, crop transition markets and grievance.

Scenario B - reform fertiliser subsidy

Potential gain: balanced nutrients, lower environmental/fiscal cost.

Failure risk: price shock, counterfeit/substitution, supply shortage and tenant exclusion.

Required package: phased relative-price correction, soil/crop advisories, supply assurance, retailer monitoring and targeted protection.

Scenario C - shift from procurement to income/deficiency support

Potential gain: lower stock cost and crop distortion.

Failure risk: weak market benchmark, price manipulation, loss of food-security stocks and exclusion of farmers unable to prove sale.

Required package: retain strategic procurement, credible market data, transparent payment rules, competitive buyers and appeal.

11. Evaluation scorecard

Test	Question
Objective	What failure or distributional goal is being addressed?
Additionality	Would the desired action occur without subsidy?
Incidence	Who receives the real benefit after price/rent adjustment?
Equity	Does benefit reach small, tenant, rainfed and women cultivators?
Efficiency	Is there a cheaper, less distortive instrument?
Ecology	What happens to water, soil, emissions and biodiversity?
Fiscal durability	Is the cost transparent and sustainable?
Exit/adaptation	Is there a review, sunset or redesign trigger?
WTO treatment	Which criteria and notification obligations apply?
Resilience	Does support build capability or recurring dependence?

12. Advanced Mains structures

O-I-I-D-W-R

```
O  Objective
I  Instrument
I  Incidence
D  Distortion/distribution
W  WTO classification
R  Reform with transition safeguards
```

Comparative thesis

"Direct" support may improve transparency but is not automatically equitable or non-distorting; "indirect" support may correct genuine market failures but often hides incidence and ecological cost. India should choose instruments by objective and capability, not ideology.

13. Advanced synthesis

```
GOOD FARM SUPPORT
= explicit objective
+ transparent fiscal cost
+ actual-cultivator inclusion
+ low distortion per rupee of income protection
+ complementary public goods
+ environmental safeguards
+ predictable transition
+ honest WTO classification and notification
```

> **Final analytical line:** The reform target is not the disappearance of state support from agriculture; it is the conversion of opaque, quantity-linked and resource-depleting support into transparent livelihood protection, risk management and productivity-enhancing public goods.

14. Study links

- FACT: Exam-complete Core:

`../basic/28_Direct-and-Indirect-Farm-Subsidies-and-WTO-Rules.md`.

- FACT: `12_MSP-Procurement-Buffer-Stocks-PDS-and-Food-Security.md`.
- FACT: `14_Irrigation-Inputs-Credit-Insurance-and-Sustainable-Agriculture.md`.
- FACT: `20_Foreign-Trade-WTO-FTAs-and-Protectionism.md`.
- FACT: `09_Union-Budget-Fiscal-Policy-and-Deficit-Indicators.md`.

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md`.

- **Years represented:** 2023
- **Paper(s):** GS-III
- **Routed question demands:** 1

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2023	GS-III	14	Farm subsidies in India and WTO dispute on agricultural support	Discuss · 15 marks · 250 words	Routed to dedicated farm-subsidy/WTO owner	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Farm subsidies in India and WTO dispute on agricultural support

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

CONSOLIDATED REGISTER NOTES

Direct and Indirect Farm Subsidies and WTO Rules: RAPID CONCEPT, INSTITUTION AND STATUS MAP

1. **Delivery and legal classification:** Direct and indirect describe delivery channels in Indian policy, while WTO treatment depends on the measure's legal criteria, production linkage and applicable exemption; a cash transfer is not automatically Green Box.
2. **Explicit and implicit support:** Explicit support appears as a budget payment or revenue concession, whereas implicit support depends on a below-cost or opportunity-cost benchmark; neither label identifies the final economic beneficiary.
3. **Income support boundary:** Income support supplements an eligible farm household's liquidity without requiring purchase of one input, but land-record eligibility can exclude tenants, sharecroppers and undocumented cultivators.
4. **Fertiliser DBT boundary:** Under fertiliser DBT, subsidy is released to fertiliser companies on recorded retail sales through Point-of-Sale systems; it is not a PM-KISAN-style cash deposit to each fertiliser buyer.
5. **NBS and urea distinction:** Nutrient Based Subsidy covers notified phosphatic and potassic fertiliser grades through per-nutrient support, while urea remains outside that regime under a separate pricing and subsidy framework.
6. **Power-water-crop nexus:** Concessional or unmetered farm power lowers private pumping cost but can reinforce groundwater extraction, water-intensive cropping and DISCOM or state fiscal stress when resource governance is weak.

7. **Irrigation incidence:** Public irrigation and low water charges can raise productivity, yet benefit depends on command location, head-tail distribution, maintenance and water access; plot efficiency does not prove basin-level water saving.
8. **Credit and insurance support:** Interest and premium support can ease liquidity and transfer specified risk, but cheap credit does not make an unviable crop viable and insurance value collapses when basis risk, yield data, settlement or appeal is weak.
9. **MSP, procurement and expenditure:** MSP announcement, effective procurement, budget expenditure and WTO market-price-support measurement are different objects with crop, grade, geography, quantity and methodology boundaries.
10. **Economic incidence:** The budget recipient, statutory beneficiary and final economic beneficiary can differ after prices, rents, input demand, supplier margins and output supply adjust.
11. **Producer and consumer support:** Farm input or price support primarily targets producers, while PDS food subsidy targets eligible consumers; procurement links the systems but does not make consumer food subsidy a farm-input subsidy.
12. **Public goods and capital grants:** Research, extension, pest control, roads, markets and eligible infrastructure can correct public-good or coordination failures, while capital grants require demand, maintenance and additionality checks.
13. **WTO domestic-support pillars:** The Agreement on Agriculture separates market access, domestic support and export competition; farm-subsidy box analysis belongs primarily to domestic support even when border and export effects interact.
14. **Amber and de minimis:** Amber Box covers non-exempt support considered production- or trade-distorting, while product-specific and non-product-specific de minimis tests are separate and the general developing-country ceiling is 10 percent.
15. **Green and Blue Boxes:** Green Box measures must be publicly funded, avoid producer price support and meet general plus measure-specific minimal-distortion criteria; Blue Box covers qualifying direct payments under production-limiting conditions.
16. **Article 6.2 flexibility:** Article 6.2 permits specified developing-country development measures, including generally available agricultural investment subsidies and input subsidies generally available to low-income or resource-poor producers.
17. **AMS measurement boundary:** Aggregate Measurement of Support measures non-exempt domestic support; administered market-price support uses a price gap against a fixed external reference price multiplied by eligible production, not actual procurement expenditure.
18. **Public stockholding status:** The 2013 Bali public-stockholding decision provides interim, conditional due-restraint protection for qualifying existing food-security programmes involving traditional staple crops; it is not a permanent settlement or blanket exemption.
19. **Reform sequencing:** Subsidy reform should identify the objective and incidence, build alternatives first, protect small and actual cultivators, coordinate input and output incentives, phase change predictably and reinvest in public goods.
20. **WTO transparency boundary:** Notification, methodology, eligible production and stock-disposal questions are legal and transparency issues; a member notification is not an adjudicated ruling and a peace-clause invocation does not settle the underlying dispute.

Direct and Indirect Farm Subsidies and WTO Rules: SCOPE, ELIGIBILITY, STOCK-FLOW AND IMPLEMENTATION TRAPS

- Do not equate direct delivery, DBT and WTO Green Box treatment.
- Do not infer the final beneficiary from the entity receiving the budget payment.
- Do not merge PM-KISAN-style income support with fertiliser DBT.
- Do not place urea inside the Nutrient Based Subsidy regime.
- Do not treat MSP announcement, procurement, fiscal cost and WTO support as one number.
- Do not merge product-specific and non-product-specific de minimis tests.

- Do not call all public investment Green Box without applying the policy criteria.
- Do not describe the Bali peace clause as a permanent or unconditional exemption.
- Do not convert a notification or counter-notification into a WTO adjudication.
- Do not present abrupt withdrawal as the only meaning of subsidy reform.

Direct and Indirect Farm Subsidies and WTO Rules: ANSWER-WRITING SPINE

```
DEFINE THE MEASURE OR INSTITUTION AND FIX ITS COVERAGE
-> STATE FORMULA, CROP, GEOGRAPHY, ELIGIBILITY OR LEGAL POWER
-> NAME THE PERIOD, ESTIMATE VINTAGE AND ISSUING BODY
-> SEPARATE ANNOUNCEMENT, IMPLEMENTATION, STOCK AND FLOW OUTCOMES
-> ADD ONE INDIA-SPECIFIC EVIDENCE UNIT AND ITS LIMIT
-> TEST DISTRIBUTION, OUTPUT, PRICE OR FINANCIAL-STABILITY EFFECTS
-> CONCLUDE WITH A GRADED VERDICT, NOT A TIMELESS NUMBER
```

Direct and Indirect Farm Subsidies and WTO Rules: LIVE-SOURCE, VINTAGE AND EVIDENCE BOUNDARY

The WTO and fertiliser pages substantively confirmed legal categories and the fertiliser payment channel. No subsidy outlay, beneficiary count, notification percentage, peace-clause invocation, product support value or current dispute outcome was imported.

COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM

ASCII MASTER FLOW - PANEL 1/12: Farm-support transmission rail

```
OBJECTIVE
-> DELIVERY CHANNEL
-> ECONOMIC INCIDENCE
-> BEHAVIOUR + OUTCOME + WTO TEST
MUST REMEMBER: Farm support includes budgetary transfers, price support, input subsidies,...
```

ASCII MASTER FLOW - PANEL 2/12: Delivery-classification matrix

```
DIRECT / INDIRECT -> delivery
EXPLICIT / IMPLICIT -> fiscal visibility
GREEN / AMBER / BLUE -> WTO criteria
LABEL != legal result
```

ASCII MASTER FLOW - PANEL 3/12: Income-support boundary

```
ELIGIBLE RECORD
-> CASH TRANSFER
-> HOUSEHOLD LIQUIDITY
TENANT + SHARECROPPER exclusion risk
```

ASCII MASTER FLOW - PANEL 4/12: Fertiliser support chain

```
GOVERNMENT
-> COMPANY CLAIM AFTER PoS SALE
-> LOWER FARMER PRICE
DBT != buyer cash transfer
```

ASCII MASTER FLOW - PANEL 5/12: Nutrient-pricing split

```
NBS -> notified P + K grades
UREA -> separate regime
RELATIVE PRICE -> nutrient choice
AFFORDABILITY != balanced use
```

ASCII MASTER FLOW - PANEL 6/12: Water-energy-crop loop

```
CHEAP POWER -> PUMPING
PUMPING -> WATER-INTENSIVE CROP
GROUNDWATER FALL -> MORE ENERGY
REFORM needs crop + aquifer safeguards
CLOSE DISTINCTION: Direct versus indirect subsidy is not WTO green/amber/blue...
```

ASCII MASTER FLOW - PANEL 7/12: Risk-support audit

```
CREDIT -> liquidity
INSURANCE -> specified risk transfer
BASIS RISK + DELAY
SUBSIDY != viable farm system
```

ASCII MASTER FLOW - PANEL 8/12: Price-support distinctions

```
MSP -> announcement
PROCUREMENT -> actual operation
BUDGET -> fiscal expenditure
AMS -> WTO methodology
```

ASCII MASTER FLOW - PANEL 9/12: WTO box map

```
AMBER -> non-exempt distortion
GREEN -> criteria-based minimal distortion
BLUE -> production-limiting payment
ARTICLE 6.2 -> development flexibility
```

ASCII MASTER FLOW - PANEL 10/12: De minimis and AMS

```
PRODUCT-SPECIFIC -> separate test
NON-PRODUCT-SPECIFIC -> separate test
DEVELOPING COUNTRY -> general 10%
PRICE GAP x ELIGIBLE PRODUCTION
```

ASCII MASTER FLOW - PANEL 11/12: Public-stockholding status

```
FOOD-SECURITY PROGRAMME
-> BALI 2013 INTERIM SHIELD
-> TRANSPARENCY + CONDITIONS
PEACE CLAUSE != permanent solution
```

ASCII MASTER FLOW - PANEL 12/12: Farm-subsidy answer spine

```
CLASSIFY delivery + objective
TRACE incidence + distortion
APPLY WTO category + status
REFORM with transition protection
EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Qualify eligible production value, external...
```